



NETFLIX

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Streaming its troubles back?

NASDAQ: NFLX
40% Upside

- **SHORT** Netflix
- Current Price: \$1027.31
- Target Price: **\$619.13**
- Valuation Date: 12/02/25

T. Ngwan, R. Teo, S. Daniel, C. Zeng, A. Sun, S. Thokala

Executive Summary

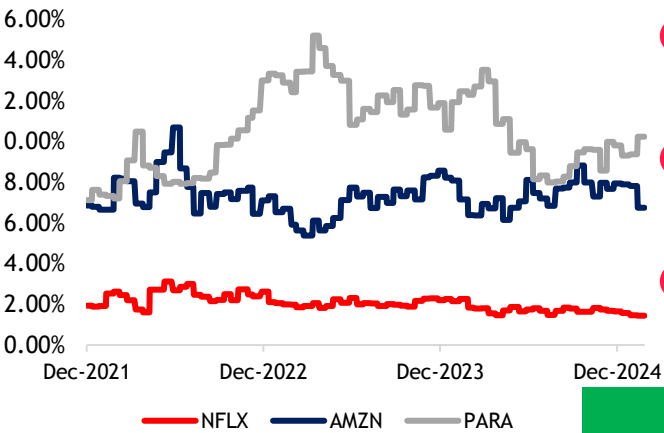


No more chill, Netflix's ratings are going down

Pitch Summary

- NFLX is an entertainment services company that derives revenue solely from streaming services to its 300 million members
- The market narrative is that it has “won the streaming wars”, and NFLX is therefore priced at a multiple indicative of zero competition and rapid growth - trading at a 52x P/E, at the same level of Nvidia
- It fails to realize that NFLX’s past outsized growth was achieved through tackling low-hanging fruit like password sharing, which are nearly exhausted
- With the market over 70% saturated and consumers remaining price sensitive, we see no way for NFLX to achieve its implied growth

Originality of Idea: Low Short Interest and going against the Street



- NFLX short interest is consistently low at 2% and currently trending downwards, giving us confidence
- Content initiatives are glitzy, but inadequate in retaining customers for the long term
- Record-high P/E of 52x driven by competitive misperceptions, and price hike catalyst is attractive entry point

Buy, 37 **Hold, 17**

Our contrarian view, and Why Now

	Perception of competition Historically traded on perception of competition, which is at an all-time low because of optimism about its position
	Difference from the street Competition is only increasing, with competitors doubling down on growth, providing a unique mispricing opportunity
	1Q25 Catalyst Price hike that will not play out as strongly as the market thinks
	Long-term Catalyst Multiple derating after it becomes apparent that NFLX cannot maintain its dominant position in the market

Market Expectations vs Reality

Market Thinks	Experts Think
Low competition post-streaming wars	NFLX continues to face competition from competitors splurging on growth
Consumers are sticky with low churn rate	High competition means no pricing power, and price hikes increase churn
Advertisements are a tailwind boosting revenue	NFLX faces challenges from competition and declining CPM

Company Overview



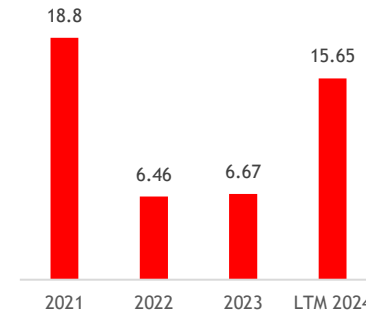
No Stranger Things than NFLX's recent strength

Business Overview

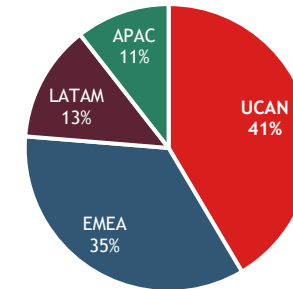
- NFLX is an entertainment services company with 300 million paid memberships, offering users streaming content. It operates in **one segment**, earning revenue from membership fees for streaming services
- UCAN (US and Canada) is its largest market, where it has achieved close to 70% market penetration and charges the highest prices
- It has achieved outsized growth by successfully cracking down on password-sharing, pivoting to advertising, and expanding its content suite
- It is one of the only profitable streaming services, leading to a narrative that it has “won the streaming wars” and trading at a P/E of 52x

Financial Overview

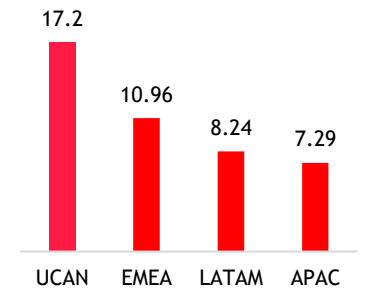
Revenue Growth (%)



Segment Revenue

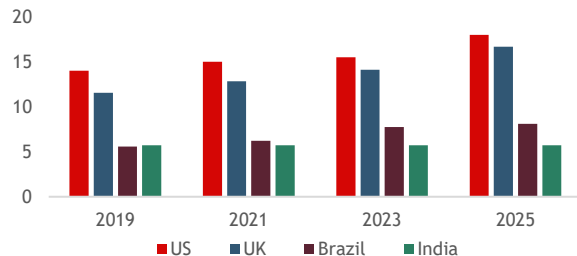


ARPU (USD)



Pricing

Standard Plan Price



- Strategy is regular subscription price growth
- Pricing power is limited outside UCAN

New Ventures

- Pursuing enhanced sports content offerings, having secured rights to stream NFL games and considering a bid for F1 U.S. TV rights
- Exploring video podcasts

However, all of these are expensive ventures and require breaking in to highly competitive areas



Advertising

Reuters

Netflix's efforts to grow ad tier in focus as subscriber growth slows

Netflix likely added the fewest number of subscribers in five quarters during April-June as sharp gains following a crackdown on password...



- Announced ad-tier subscription focus, planning to remove basic-tier in Canada and UK
- Forced to lower CPM from ~£60 to £34 for a 30-second slot
- Scale limitations, high minimum spend, and intensified competition remain barriers to investment

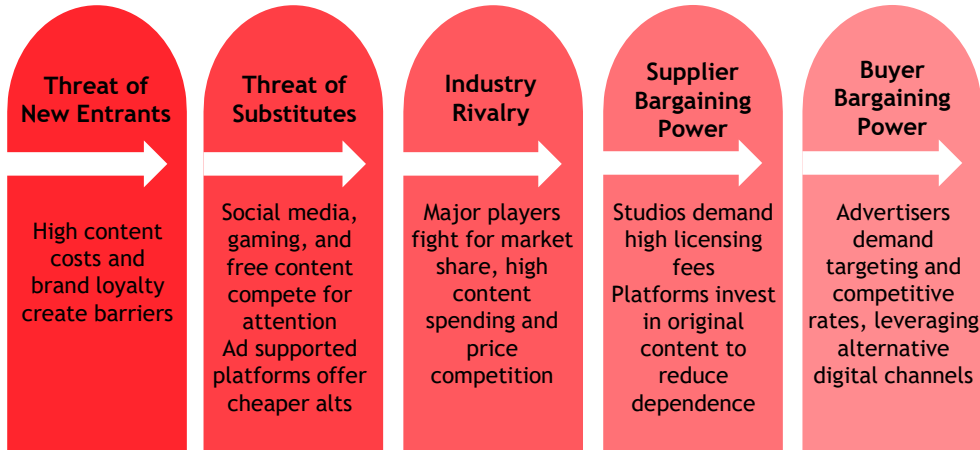
Definitions: ARPU (average revenue per user), CPM (cost per mille)

Industry Overview

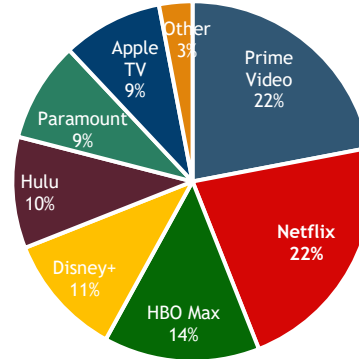


Not Netflix and chill... Netflix has no time to chill

Porter's Five Forces shows highly competitive space



Competitor Breakdown (US)



max	Doubling down on APAC expansion
hulu	Hulu + Live TV combining with live sports service Fubo
prime video	Launched Apple TV+ as an add-on
Disney+	Expanded ad-supported plan to Finland, Netherlands and Portugal

Limited TAM Growth

- The Media Streaming Market is facing headwinds, growing at a **low CAGR of 7%** from 2025-2029
- 83% of US households have at least one streaming service subscription, cross-usage is high

	Netflix	Amazon Prime Video	Hulu	Disney+	Max	Peacock	Paramount
Netflix	-	73%	55%	49%	37%	31%	22%
Amazon Prime Video	80%	-	55%	51%	39%	33%	35%
Hulu	86%	78%	-	65%	46%	40%	39%
Disney+	85%	81%	72%	-	49%	41%	42%
Max	88%	84%	71%	68%	-	44%	46%
Peacock	83%	80%	67%	63%	49%	-	55%
Paramount+	84%	86%	67%	65%	62%	56%	-

Move towards bundling increases content offerings

- Competitors are increasingly promoting bundling offers to limit subscription cancellations and attract new subscribers
- Combined bundle of Disney+, Hulu, and Max contributing to higher subscriber retention rate (80%) within 3 months, surpassing NFLX 74%
- Aims at reducing subscriber churn, reports indicating a decrease in rates by 20-50%



"Why would I get Netflix when it's not bundled?"
~Customer interview

Consumers using bundles are **15% more likely** to maintain subscriptions

Competitive space is larger than imagined

- Consumers are non-sticky and price sensitive, and NFLX is competing against free entertainment providers for attention
- YT is "the new TV," also dominating streaming and podcasts; streaming hours increased 27% in 2024, the largest contributor to streaming growth in the US
- Traditional media companies distributing full-length episodes and movies on YT to reach broader audiences and generate additional ad revenue

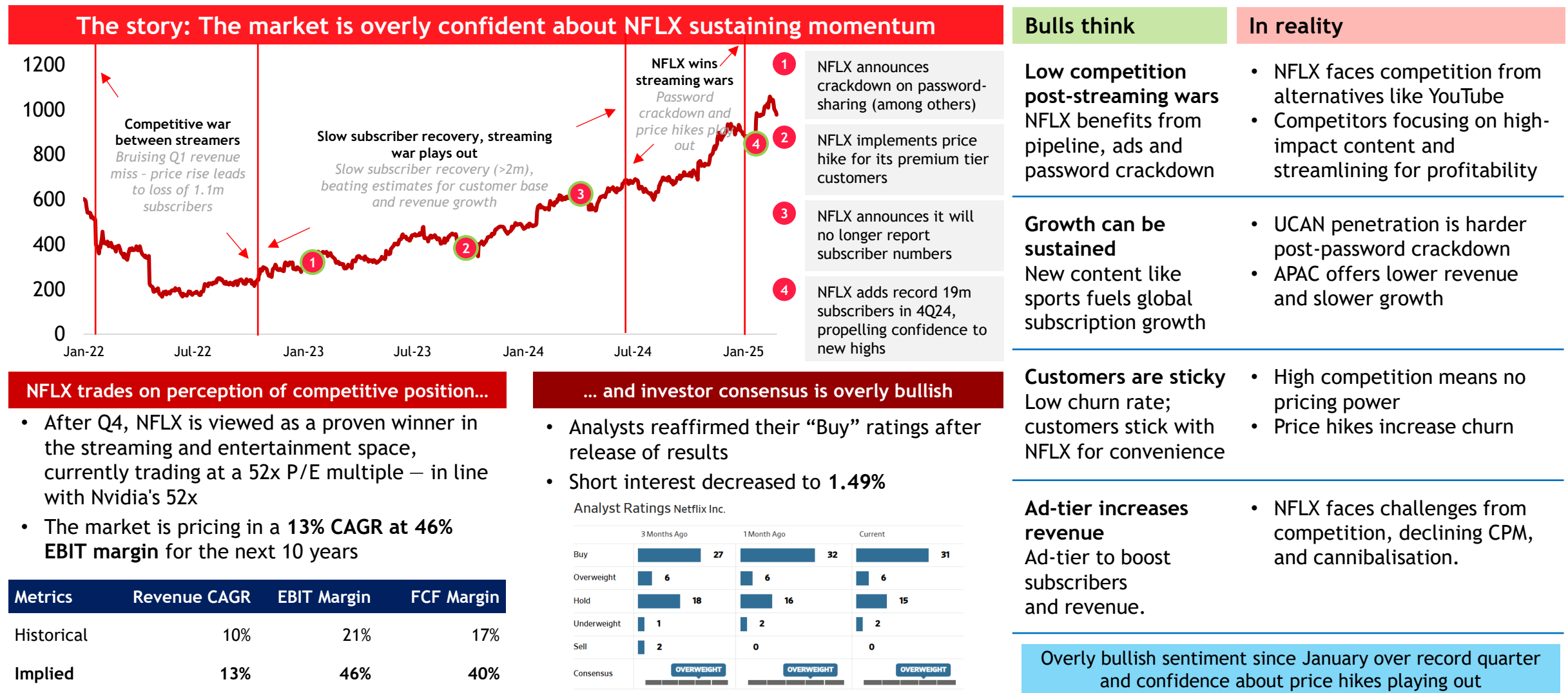
"Netflix is not just competing against other streaming providers - it's competing against YouTube, TikTok, and sleep"
~Expert Interview



Market Expectations



The market overvalues recent success, ignoring expansion limitations and customer loyalty.



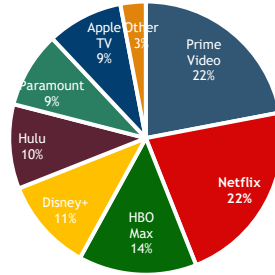
Thesis 1: The market misconstrues industry competitiveness - NFLX has no pricing power



Netflix has played these games before

NFLX is seen as having won the streaming wars, while market share analysis shows otherwise

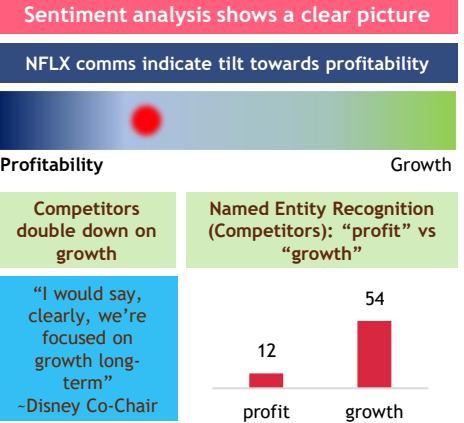
- The market sees NFLX as having won the streaming wars, having introduced multiple initiatives to dominate the streaming industry
- However, simple data analysis shows otherwise - its market share is only 22%, similar to other providers
- Limited room for further expansion - high overlap between providers indicates highly competitive environment, and consumers are not keen to add more services



“The industry is saturated, and there is no clear winner”
~Expert Call

NFLX is consolidating gains, while competitors double down on growth

- NFLX has shifted from a growth mode driven by volume-led growth to one focused on profitability and price-led growth
- Value proposition of NFLX stays the same while prices increase, meanwhile competitors engage in practices like bundling to improve value proposition
- Competitors emphasise commitment to growth still while NFLX falters



Market misconstrues size of the competitive space

- Sellside construes NFLX’s competitors as only other streaming services
- Industry experts argue otherwise - it’s competing against the **entire** entertainment market

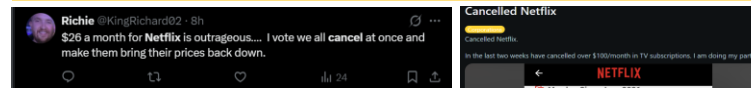
“We are confident that engagement and net adds hold positive long-term trends”
~CMS ER

“Saying NFLX has won the streaming wars overlooks a far bigger player - YouTube”
~Industry Expert

Sellside believes in successful execution of price hikes...

- Sellside models factor in both price and volume growth, despite competitive environment leading to cracks in environment
- Alternative data shows **high levels of customer dissatisfaction** and rate of quitting

Anecdotal test: Quick Twitter search on “cancel Netflix” yielded over 40 results in just the last 8 hours



... when past experience has shown otherwise

Sounds familiar?

COO, 4Q21

“If we ... ask them for a little bit more, they’re generally willing to do that”

CEO, 4Q24

“What we have going into 2025 is [the engagement for a price increase]”

Netflix loses almost a million subscribers

Lost 200,000 subscribers in 1Q22, first subscriber loss in over a decade

Similar story playing out?

N

Thesis 2: Low-hanging fruit tackled, US TAM is a hard limit, growth elsewhere depresses ARPU



Like a show with 7 seasons, Netflix can't just keep going

Market is pricing in Further Volume Growth

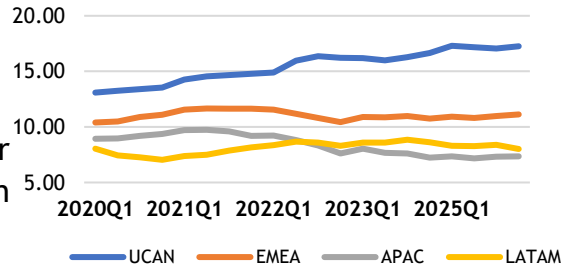
- Netflix adds record 19m subscribers in Q4 2024 due to solid content and low-priced ad tier - but also the last season that numbers of subscribers will be reported

J.P. Morgan revised its Netflix subscriber forecast, projecting strong double-digit growth and raising the price target to \$1,150.

NFLX (\$ in Millions)	1Q25		2Q25		3Q25		4Q25		2026	
	Old	New	Old	New	Old	New	Old	New	Old	New
Global Paid Streaming Members	298.7	306.6	301.5	313.6	305.7	320.1	314.2	331.6	333	354.8
Y/Y Growth	10.8%	14.5%	8.6%	13.0%	8.1%	13.2%	7.2%	9.9%	6.0%	6.9%
% chg vs. old		3.3%		4.0%		4.7%		5.5%		6.5%

Other Markets may be the Next Frontier, but at a Lower ARPU

- ARPU in other regions are significantly lower, reducing the overall revenue impact
- Lower pricing and different consumer spending habits in other regions mean revenue won't match UCAN levels.



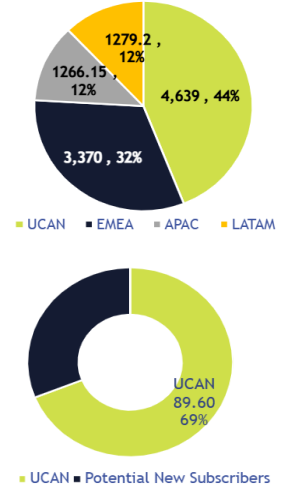
Rapid Growth Driven by One-Time Factors

- The password-sharing crackdown will continue to play out in 2025, but we believe it won't be as sustained as the market thinks
- The ad-supported tier attracted price-sensitive consumers and drives revenue
- Both factors are unlikely to sustain long-term rapid subscriber growth

"Netflix is emphasizing what benefits them...the password sharing boosts will eventually recede." - Benes from eMarketer

UCAN - most valuable market, but saturated

- UCAN remains Netflix's core market (45% of total revenue, highest ARPU at \$16-\$17 per month), with 90M paid members in Q4 2024
- UCAN has already penetrated 69% of 130M TAM (total number of broadband households), further subscriber growth difficult



The Saturated Market Limits Customer Poaching Opportunities

- 73% of Netflix users also have Amazon Prime, and most Hulu, Disney+, and Max users already subscribe to Netflix
- Netflix faces competitors offering multiple services, like Amazon Prime

Cross-Usage of Select Streaming Services Among US Households, 2023
% of total

	Netflix	Amazon Prime Video	Hulu	Disney+	Max	Peacock	Paramount+
Netflix	-	73%	55%	49%	37%	31%	22%
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Peacock	83%	80%	67%	63%	49%	-	55%
Paramount+	84%	86%	67%	65%	62%	56%	-

Note: read as 73% of households with Netflix also have Amazon Prime
Source: Advertising Research Foundation (ARF), "TV Deconstructed: Latest Findings From the DASH Study," June 20, 2024

287466 eMarketer

Multi-subscription is the norm, leaving Netflix little room to poach new users from competitors

"The potential for price increases is limited due to the substantial churn risk... Research results show 20% more subscribers would cancel in response to a 10% price increase." - Simon Kucher

Thesis 3: Additional content initiatives can't save Netflix from the backlash against price hikes



Netflix is hoping that investors are not still watching

NFLX will stop reporting quarterly subscriber numbers in Q1 25, showing company's lack of confidence...

- When Netflix first announced that it would stop reporting subscriber numbers, the stock price fell 9.1% over fears of slowdown and a lack of transparency
- Original pessimism has all but dissipated - zero mention and concern by sellside
- Since then, many "active" sales from top insiders. Overall net insider selling summed to almost 2 million shares - a sign that internal outlook is not as bright as investors believe

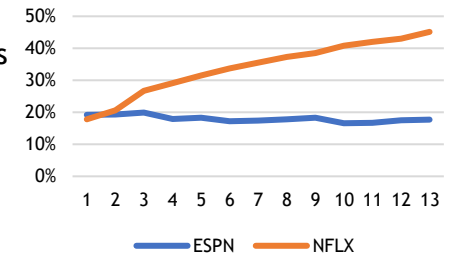
"When Netflix provided the 100M unpaid sharing household estimate, subscribers were at ~220M. Now they are at 260M and we are forecasting 353M subscribers by the end of 2030, relative to the current TAM of 500M households (according to management)." - Deutsche ER Report

	3 months	12 months
Number of Shares Bought	53,320	53,320
Number of Shares Sold	567,319	1,970,064
Net Activity	(513,999)	(1,916,744)

NFLX will have to spend more than it thinks to keep subscribers given price hikes

- To watch all NFL games in the USA across all streaming platforms, it would cost ~\$150/month
- Consolidation is inevitable. Netflix may not have the resources to compete against Apple and Amazon in this, and winning is costly
- Margins are projected to continue to decrease, as contracts with leagues continue to inflate
- Netflix have sought to make their live events special, with Beyonce's half-time performance costing \$20mn - this is unsustainable

"Sports streaming is too fragmented - it's only a matter of time before the market consolidates"
~Ex-Netflix Employee



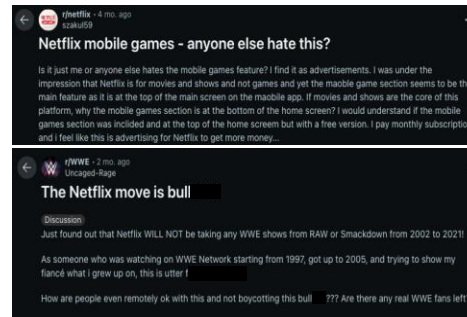
...We thus expect subscribers to fall in Q1, leading to EPS and revenue miss

- Warning signs point to subscribers falling in Q1, parallel to 1Q22 as mentioned earlier
- Our model outputs for 1Q22, with scenario analysis:

	Q1 2025	Diluted EPS	Revenue
Consensus		6.07	10,544
Bear		6.75	11,242
Base		4.45	9,861
Bull		3.16	9,246

Alternative data shows customer unhappiness with new initiatives

- New content initiatives distract from Netflix's core proposition
- Issues with WWE licencing has led to outrage about the lack of past content
- Mike Tyson vs Jake Paul stream had significant quality issues



Sentiment analysis using Python shows only 14% positive sentiment

Historical path of other providers shows that such initiatives are unsuccessful

- Prime exiting Premier League streaming market within 6 years of entry
- Minimum monthly spend of \$10 a month on live sports streaming, NFLX will have to hike prices a lot to enter
- Unlikely that subscribers will be thrilled by that

Newsletter

The \$20 Billion Sports Media Problem No One Can Answer

Watching sports has never been more complicated or expensive. It's going to get worse before it gets better.

Thesis 4: Advertising Tier Creates Headwinds, Not Opportunities

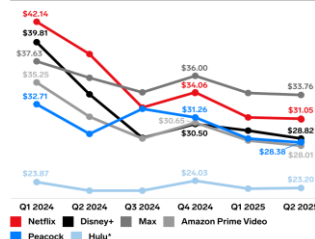
Competition is more persistent than a mid-roll ad



Netflix Has Not Won the Advertising Wars

- **Appealing to advertisers** is very different from appealing to viewers, highly competitive space
- Disney's ad ecosystem (Disney+, Hulu+, ESPN+) the biggest
- Industry experts: Prime has **more advertising reach and better ad targeting**, expanding ad loads in 2025, depressing CPM
- Other competitors like Peacock and HBO moving into ad space

Amazon Prime Video's Ad Tier Launch in Q1 2024 Will Suppress US Streaming Ad Prices Into 2025
average US ad-supported video-on-demand (AVOD) CPMs, by platform, Q1 2024-Q2 2025



"The difference with Amazon is that they actually have a very robust platform and understanding of retail marketing, and I think that's an absolute focus of advertisers right now."
~Essence Director

"And because of the supply of Netflix and Amazon, everyone thinks it's a buyer's market."
~Screenvision Chief Revenue Officer

"(Hulu) roll up under the Disney bundle and the ABC commitment, I would say that, that's our biggest overall"
~Essence Director

Sellside is wrong about trajectory of CPM

- Sellside expects monthly ad ARPU to rise as monetisation improves due to guidance
- But Netflix has **historically failed** to meet their ad CPM targets, ad department is a revolving door
- NFLX has had to **halve CPM** since 2022 to clear inventory
- CPM of 35USD above industry average of 20USD, room to fall further as NFLX increases ad tier subscriptions and increases ad loads

"Anyone at Netflix would tell you that they didn't hit a single goal because they had CPM goals they were supposed to get to. And across the board, the agencies just weren't paying it."
~Screenvision Chief Revenue Officer

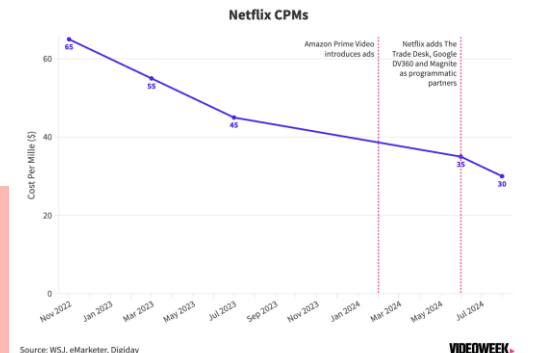
04 Oct 2023 | Omar Oakes |

Jeremi Gorman exit: will Netflix ever truly embrace ads?

Home > TV > News

Jul 18, 2024 1:27pm PT

Peter Naylor is Latest Senior Ad-Sales Executive to Exit Netflix

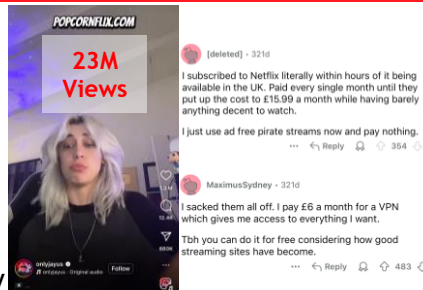


Source: WSJ, eMarketer, Digiday

VIDEOWEEK

Ad tier cannot fully catch disgruntled subscribers...

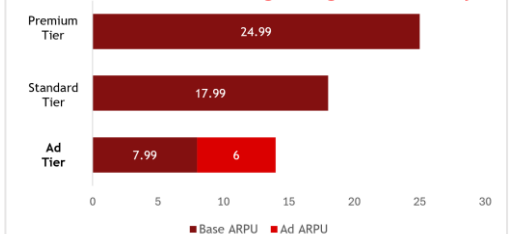
- Markets are betting that ad tier will catch standard/premium subscribers who do not want to pay the full price after the massive price hikes
- Netflix's entire **value proposition** is that it is **less inconvenient than pirating shows on websites**
- Online sentiment in some circles: pirate to punish Netflix for raising prices, ad tier is worse than piracy



... and it is dilutive to ARPU even if they do

- At 35USD CPM, ad ARPU of 6USD a month
- Ad tier ARPU 13.99USD/month, 4USD lower than standard tier
- CPM will continue falling to mid-20s, translating to a drop of ad ARPU to under 5USD

Ad Tier ARPU lags significantly



Valuation: What the Market Expects



10-year DCF with quarterly build used to forecast cash flows

Drivers - What the Market Thinks				Immediate, permanent 22% rise in revenue with 50% margin improvement priced into market expectations, but is it realistic?	
	2025E	2026E	2027E		
UCAN Subscriber Growth	5%	4%	3%	←	• Competition fights back, slowing NFLX's subscriber growth (Thesis 1) • Password sharing plays out + oversaturated market slows growth (Thesis 2) • Price hike cause subscribers to quit (Thesis 3)
EMEA Subscriber Growth	8%	6%	8%		
APAC Subscriber Growth	18%	13%	14%		
LATAM Subscriber Growth	12%	10%	8%		
UCAN ARPU	18.50	19.43	20.20	←	• NFLX's pricing power declines as competition focuses on growth (Thesis 1) • Oversupply of ad inventory and strong competition lead in ad space depresses ad ARPU (Thesis 4)
EMEA ARPU	11.75	12.34	12.95		
APAC ARPU	8.00	7.75	7.53		
LATAM ARPU	9.00	9.36	9.73		
% Addition of Content Assets / Content Assets	52%	51%	51%	←	• Spending to acquire live sports is costly, given competition from big players (Thesis 3)
Amortisation of Content Assets / Content Assets	48%	47%	47%		
% Other Cost of Goods Sold	15%	14%	14%	←	• Platforming live events is costly (Thesis 3)
% Technology and Development / Revenue	7%	6%	5%	←	• Improving live event quality is costly (Thesis 3)

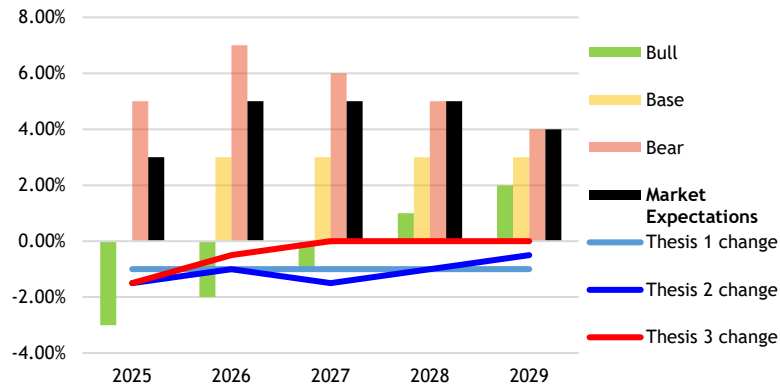
With rising competition from other players in an increasingly oversaturated market, NFLX's growth and pricing power are under threat.

Valuation: Our Model Inputs

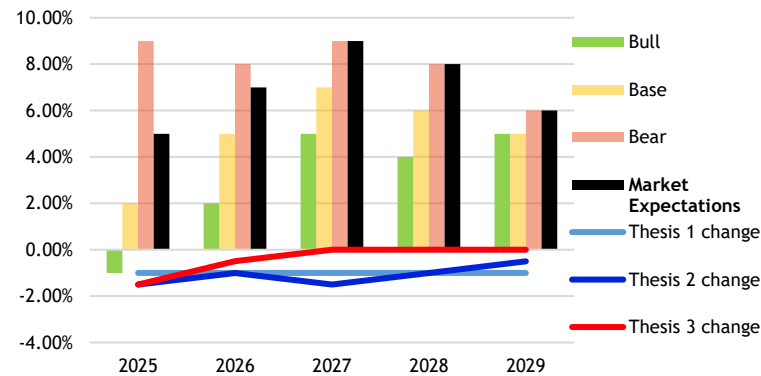


Black Mirror: The Reflection isn't Pretty

UCAN Subscriber Growth



EMEA Subscriber Growth



DCF with scenario analysis shows clear upside

Bull

- Theses play out in 2025, subscribers quit due to price hikes, ad APRU falls
- Margin worsen given foray into sports

+72.4% returns

25% probability

Base

- Theses play out gradually, slowing growth
- Margins do not improve significantly

+50.1% returns

50% probability

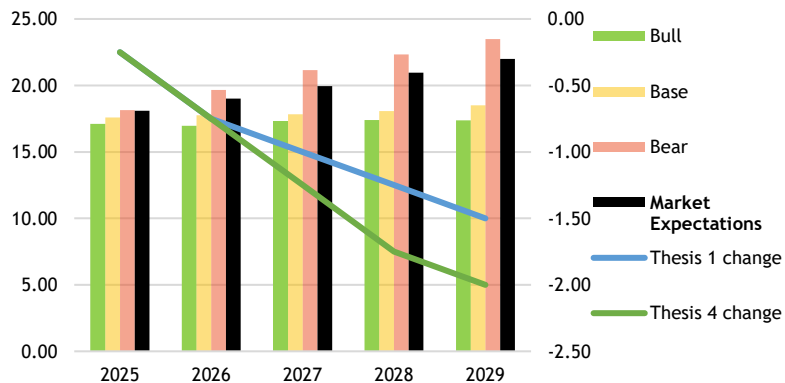
Bear

- Netflix is able to grow rapidly while increasing prices consistently
- Big improvement in margins

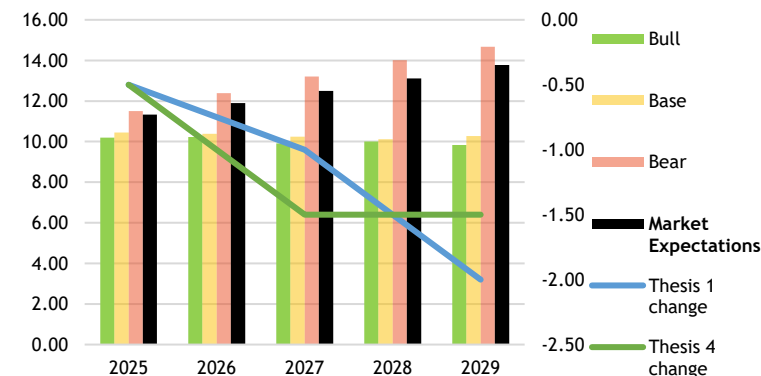
-13.65% returns

25% probability

UCAN ARPU



EMEA ARPU



Drivers used are highly conservative, representing only a slight decrease beyond the market expectations case or street estimates, allowing us to estimate a margin of safety.

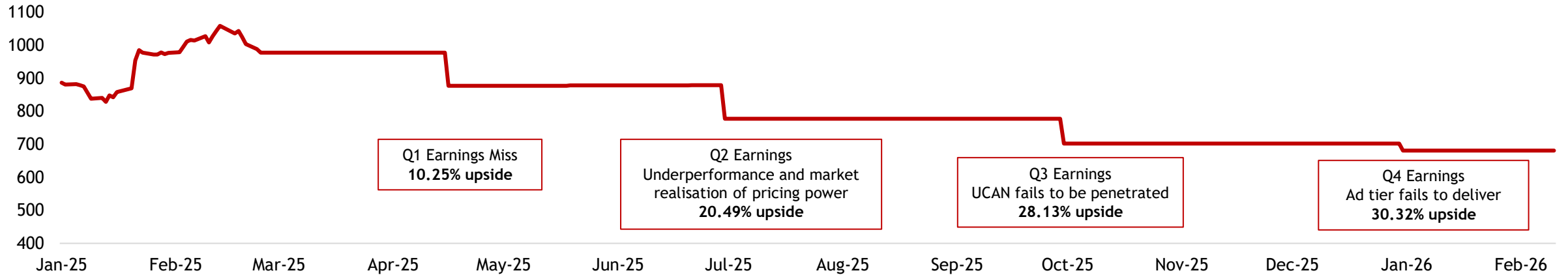
Overall Weighted Return: +40%

Catalysts and Annotated Event Path Timeline



Netflix buffers as its House of Cards falls

Annotated Event Path Timeline



Overview of Key Catalysts

Price hike triggers revenue misses 1Q 2025 - 2Q 2025	Pricing power re-evaluated post-hike 1H 25	Plateau in UCAN growth 1H25 - FY 26	Ad-tier underperforms 1H 25 - FY 26
- Netflix's first major price hike in two years will trigger sharper-than-expected subscriber losses, revealing deep-seated dissatisfaction among users - Potential upside: Netflix's ventures into live sports, including broadcasting WWE, may attract new subscribers and enhance revenue streams	- Post-price hike earnings misses and guidance revisions will expose Netflix's flaws despite previously being crowned victor of the 'stream wars' - Potential upside: Competitors may cut down on spending, making competition less aggressive post-stream wars.	- Netflix misses UCAN revenue growth expectations as market reaches saturation, forcing expansion into lower-ARPU regions like APAC, weakening total revenue per user in successive quarterly reports - Potential upside: Release of seasons of popular shows like Stranger Things and Wednesday can lead to boost in subscribers and revenue performance	- ARPU declines as ad oversupply and weak firm spending lower CPM, forcing NFLX to cut ad revenue forecasts. - Potential upside: FAANG stocks are prone to significant price volatility so shorting for a year poses a risk
Total share price change for catalyst: -\$152	Total share price change for catalyst: -\$287	Total share price change for catalyst: -\$75	Total share price change for catalyst: -\$128

Risks and Mitigations - How we've accounted for it



What is the Margin of Safety? How will we do under pressure?

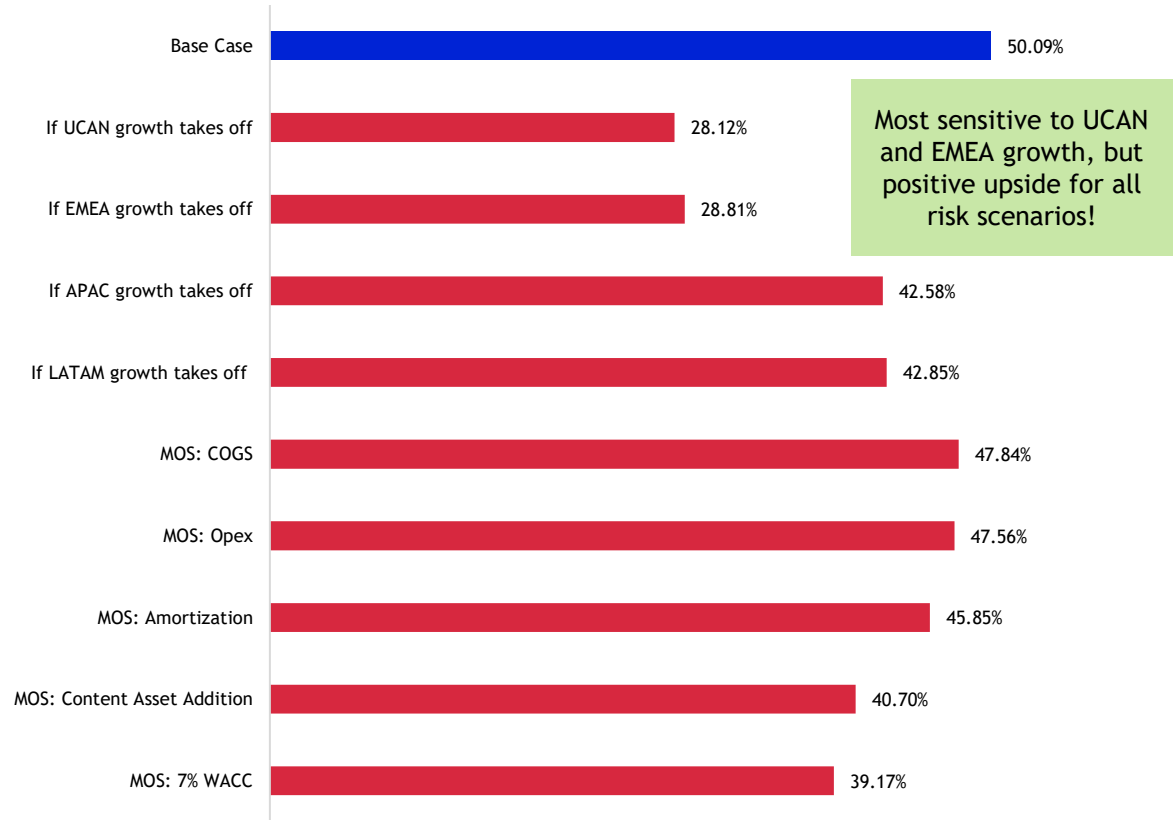
Severity	Risks	How This Plays Out	Mitigations	Downside
!!!	Strong Content Pipeline New seasons of fan favourite shows are on their way	Market Expects: Strong Content Pipeline will continue to boost subscriber numbers. We Think: Customers subscribing for new releases will have an extremely high churn rate	- New shows (Stranger Things, You, Wednesday) being released in Q4 2025 (earliest) - not within timescale of short. - Subscriber gains made during this quarter are unlikely to be permanent, with any new customers expected to cancel after the conclusion of these releases.	-9.62%
!!	Expansion Into Sports Chief Content Officer pushing to take on major streaming contracts	Market Expects: Sports Expansion will continue to bring record numbers of viewers, leading to a TAM expansion. We Think: Significant CAPEX outlay and competition will mean that costs exceed any revenue growth.	- Viewership Statistics are inflated with Beyonce HT show and WWE Legends participating in launch events. - CAPEX for entry in these market are extremely high - NFL: \$1-2bn, UFC: \$1bn, F1: \$2bn (estimates).	-2.83%
!!!!	Growth In Developing Markets While NA is saturated, there is growth potential in APAC and EMEA	Market Expects: Continued market penetration in emerging markets will enable Netflix to sustain its growth trajectory. We Think: Emerging markets are highly dilutive to ARPU, and will not offset troubles in UCAN.	- ARPU in developing markets remains much lower than established markets (\$7.34 APAC, \$11.11 EMEA, \$17.26 UCAN). - ARPU will only trend down as Netflix aim to win the streaming wars in these regions and improve their low market penetration rates.	-14.75%
!!	Market Volatility FAANG stocks hold potential for rapid price swings	Market Expects: N/A We Think: N/A	Hedging the short with a long position in another FAANG company, i.e. Amazon, is likely to erase any downside risk that is involved from pure market volatility.	-3%
!	Pirating Crackdown Appropriate measures may lead to increased market share	Market Expects: No change has been priced in. We Think: Piracy is going to get worse (Thesis 4).	As Netflix expands into sports streaming, piracy is likely to siphon a significant amount of revenue away from the firm.	-2.29%
!!!	Competitors Cutting Down Spend Fears that competitors are slowing down	Market Expects: Competitors decrease spending as they accept Netflix has won the streaming wars. We Think: Competitors will ramp up spend.	Contrary to media perception, competitors are still positioned for growth, with Apple TV spending ~\$300mn on F1 (movie), and Amazon Prime Spending upwards of \$1bn on Rings of Power.	-12.18%

Valuation: Comparables and Sensitivity Analysis show clear Margin of Safety

Pricing risks in, so we don't get left on a cliffhanger

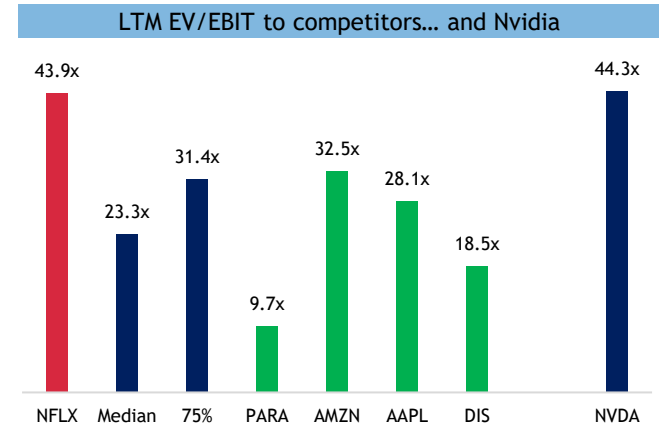
Sensitivity Analysis shows clear Margin of Safety

Sensitivity of multiple drivers tested with positive upside still, demonstrating high margin of safety

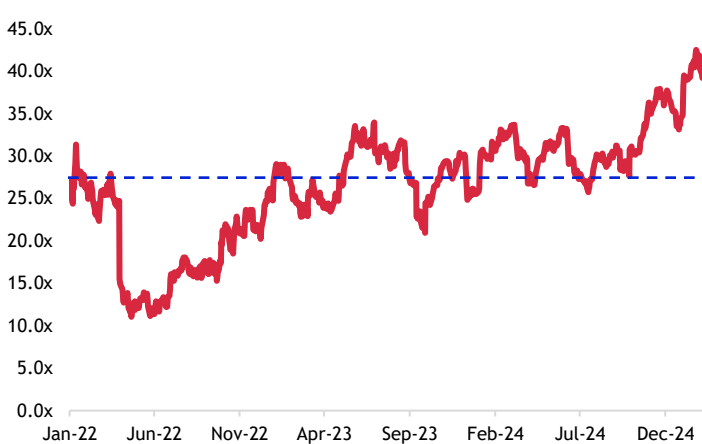


Multiples show undervaluation relative to peers by every metric

- Peer comps are challenging due to NFLX being the only pure-play player in streaming
- Even so, compared with a group of peers at the 75th percentile, NFLX has a downside of **54.6%** by EV/EBITDA, **29.2%** by EV/EBIT, and **25.5%** by P/E
- This is despite the competitive space and saturated market
- Similar multiple to NVDA - reasonable growth assumption?



While still trading below historical EV/EBIT ratio



- Compared with historical EV/EBIT, NFLX is trading at a significant premium
- This is despite competitive position not improving amidst competitive headwinds

Conservative WACC	
9.50%	9.86%
Modelled by us to be conservative	Bloomberg ER
	12.04%
	Our own calculation

Appendix 1: Sentiment Analysis

The Billion Dollar Code... just a billion dollars cheaper

We used Python to scrape social media and perform sentiment analysis

```

28 for tweet in sntwitter.TwitterSearchScraper(query).get_items():
29     tweets.append(tweet.content)
30
31 df = pd.DataFrame(tweets, columns=["Tweet"])
32
33 reddit = praw.Reddit(client_id="client_id", client_secret="client_secret", user
34
35 subreddit = reddit.subreddit("Netflix")
36 posts = [post.title for post in subreddit.search("Netflix price hike", limit=10
37
38
39 # Now we do sentiment analysis
40
41 analyzer = SentimentIntensityAnalyzer()
42 sentiments = [analyzer.polarity_scores(review)["compound"] for review in review
43
44 nlp = spacy.load("en_core_web_sm")
45
46 with open(file_2) as f:
47     article1 = f.read()
48
49 with open(file_3) as f:
50     article2 = f.read()
51
52 # Extract key phrases
53 doc1 = nlp(article1)
54 doc2 = nlp(article2)
55
56 for doc in [doc1, doc2]:
57     phrases = [chunk.text for chunk in doc.noun_chunks] # Extracts key phrases
58
59
60 model = SentenceTransformer('paraphrase-MiniLM-L6-v2')
61
62 strategy_x = "netflix-focus"

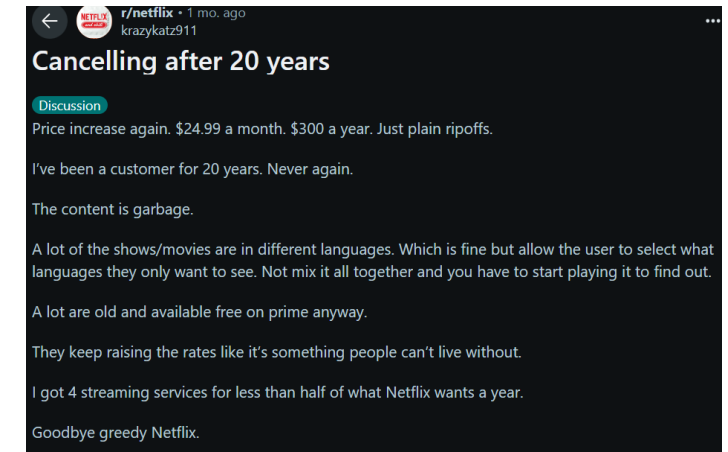
```

Sentiment largely negative after Netflix announces price increases

Sites parsed:

- Reddit
- Twitter
- Facebook
- TikTok

I canceled all of my streaming junk, I watch more DIY and YouTubers now. Its turned into what cable used to be, scroll through and find something random to watch, get hooked, and watch other stuff. VS streaming, you have a couple of options and once you've watched it, there's nothing else worth it.



Metric	Value
Positive Sentiment (%)	14%
Neutral Sentiment (%)	47%
Negative Sentiment (%)	39%
95% Confidence Interval (%)	±1.3%

Result shows clear negative sentiment towards NFLX on its price hikes!

Appendix 2: Survey Results

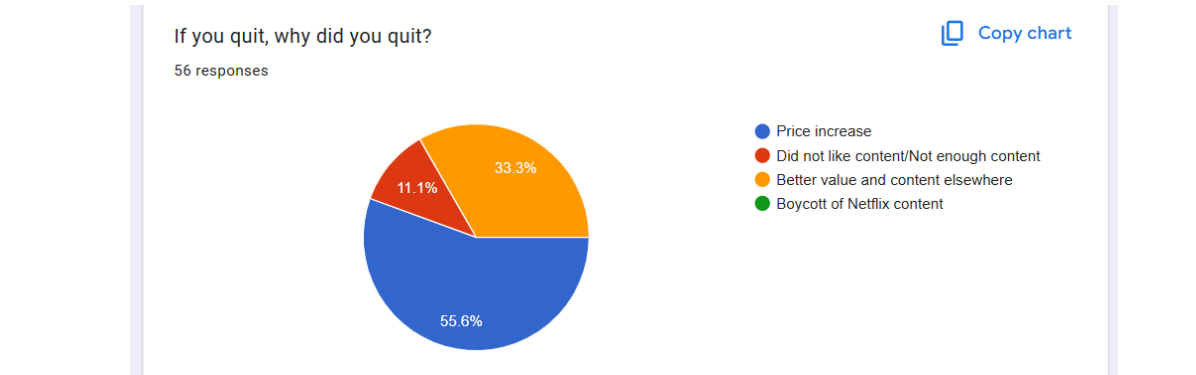
Consumers hit skip on Netflix's recent ventures

N

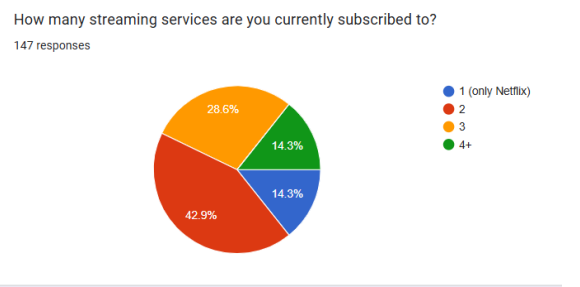
Survey metrics

Metric	Value
Number of Respondents	147
Active Users	91
Users who have quit	56

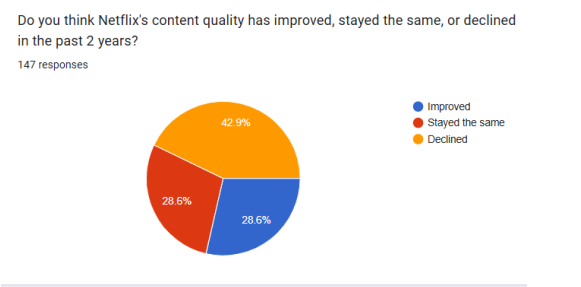
Price sensitivity account for majority of leavers



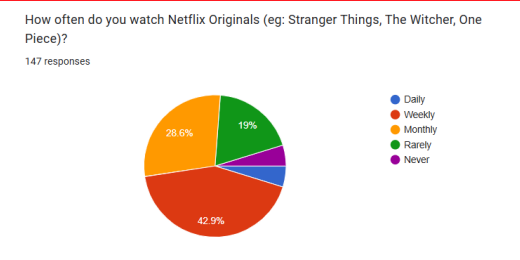
Most people subscribed to more than 1 service



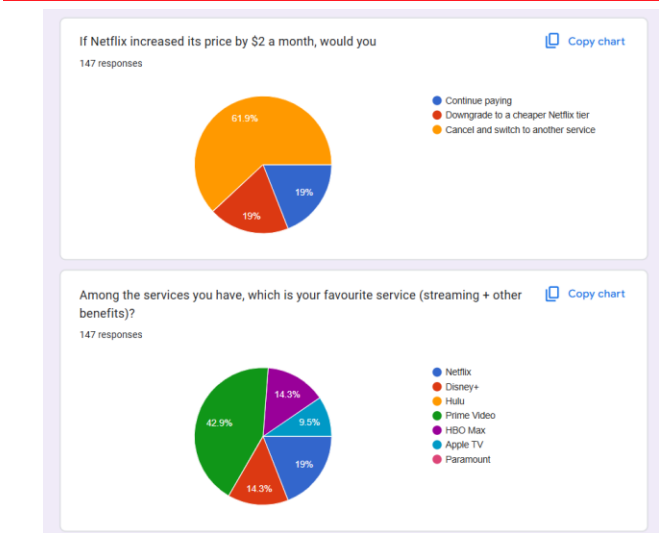
Satisfaction with NFLX's content has fallen



Live content not playing out well while NFLX originals prove popular



There is no moat - most people will leave, and NFLX is nowhere near the crowd favourite



NFLX's moat is overstated, and on-the-ground sentiment shows high degrees of price sensitivity and a willingness to swap for competitors despite NFLX's efforts to increase its content library

Netflix statement on profitability over subscriber growth

Clear hunger for growth by competitors

- Profitability over growth is the 'evolution' of streaming strategies.
 - "We've evolved pricing and plans/tiers, with different price points across different countries. Those price points are going to become increasingly different... That simple math - the number of members times the monthly price (ARM) - is increasingly less accurate in capturing the state of the business... Ultimately, we think this is a better approach that reflects the evolution of the business, and it and is consistent with how we manage Netflix internally to engagement, revenue, and profit." - Q1 2024 earnings call
- " I would say, clearly, we’re focused on that growth and we are going to deliver growth in subscribers, in profitability, in margin. [...] We’re focused on delivering growth long term and that is through that pipeline of content. Obviously, we have tremendous opportunity internationally to grow.
 - It’s still a very young platform. We are working on our local originals so that we have content around the world that is relevant to local subscribers along with our big global hits. And again, our company is producing and releasing in streaming a huge number of hits that travel around the world. It’s something that I have been at Disney now for going on seven years. I came from Fox, where we were also very focused on the value of creative risk taking." - Dana Walden, Co-Chairman of Disney

Competitors

GOT A TIP?

THE HOLLYWOOD REPORTER

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LIVE FEED

HOME > TV > TV NEWS

‘The Rings of Power’ on Verge of Season 3 Renewal by Amazon

In the wake of its second season finale and strong ratings, the fantasy epic is very close to getting a pickup.

BY JAMES HIBBERD OCTOBER 4, 2024 9:43AM

Season 1 of The Rings of Power had a budget of \$465 million and season 2 has promised an even bigger budget to produce larger and greater scenes for viewers. The budget rose to \$700 million when factoring in the price of buying the rights from J.R.R. Tolkien’s estate.

Platform	TV Shows	Movies	All
Amazon Prime Video	2,748	17,739	20,487
Netflix	2,872	5,214	8,086
Now TV	978	834	1,812
Disney+	1,004	1,844	2,848

Apple TV+’s \$20B Content Splurge Is Not Just About Trying to Win the Streaming Wars

Apple TV+ may not be the most popular streaming service yet, but it’s increasingly crucial to Apple’s overarching media strategy.

By Brandon Katz · 08/28/24 9:49am

Netflix? ESPN? Amazon? Why the race for F1’s U.S. TV rights could change the sport

Luke Smith Feb 12, 2025

88

Source:

34

Appendix 4: Expansion into sports costly



Netflix is getting benched amidst competitors getting into the big leagues

WBD, AAPL and AMZN trying to get in on the action

Apple prepares an astonishing offer: **2 billion for all rights**. **In the United States**, the place from which the news spread throughout the world, these rights are in the hands of ESPN, which has a contract with Liberty Media until 2025. 7 days ago



YawClub News

<https://en.news.yawclub.com/apple-acquista-i-diritti-es...>

[Apple buys exclusive rights to F1? - Yawclub](#)



About featured snippets



Feedback



SportsPro

<https://www.sportspro.com/news/nba-broadcast-med...>

[WBD matches Amazon's US\\$1.8bn NBA media rights bid](#)

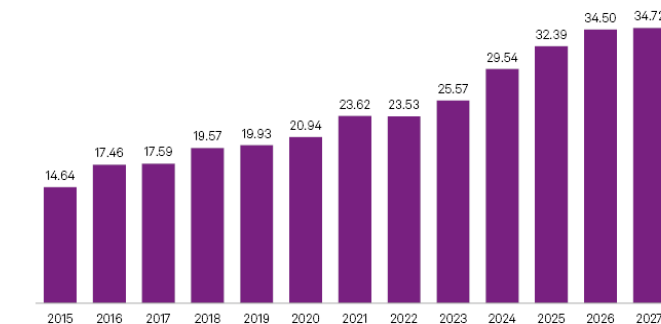
23 Jul 2024 — Warner Bros Discovery (WBD) intends to match **Amazon's reported US\$1.8 billion bid** for a package of domestic media rights to the National Basketball Association ...

Sellside experts estimate...

Deutsche ER Associate: Major sports rights deals have significantly increased in cost: UFC now costs \$1B per year, which is 2-3x higher than before. NBA rights have tripled. MLB costs have dropped, indicating selective market shifts. Formula 1 is more complex, requiring broad-based distribution rather than a single-platform approach. Doubling or tripling costs seems to be the norm for sports rights, and tech players remain involved in bidding. No single company is emerging as the dominant consolidator of sports rights—it remains highly competitive and expensive. Netflix is evaluating its role in profitability, meaning it is unlikely to go all-in on sports like traditional broadcasters have.

Price-wars happening, but value proposition hasn't changed much

Annual value of US TV & streaming sports rights (\$B)



As of March 2024.
Does not include RSN rights payments.
Sources: S&P Global Market Intelligence Kagan estimates; industry data.
© 2024 S&P Global.

It's nearly four times as expensive to air an NFL matchup as it is to make a hit series like "Squid Game," and by wading into the fray Netflix will find itself competing against Big Tech giants with cash to burn. The shares also aren't cheap at the moment, trading near a record high, so investors shouldn't get carried away if everything goes off without a hitch. - Barrons Analyst George Glover

Appendix 5: Industry insiders agree Netflix's competitors have an edge in ads



Netflix on a commercial break while others push forward with blockbuster thrillers

Senior Director at Essence: Amazon continually pushing NFLX ad prices down...

And the other thing, that other reason we spent more this year or we've created more this year than ever is the growth, the continued growth of Netflix advertising. So they continue to grow. But really, it's the entrance of Prime Video into the ecosystem. And so a year ago, we were only buying ads on Prime that were running in and football.

In the spring, they did something that the other streamers have never done, which is they defaulted everyone to their ad-supported plan, and they happen to have the biggest audience already in terms of subscribers because of Prime. And now everyone is an ad-support Prime subscriber. The number of the subscribers who are not ad supported and not on the ad-supported plan is so small. They had this huge influx of subscribers.

Amazon hasn't even scratched the surface on the ways that they can increase inventory in the most obvious ways and then on ways that are not as obvious with sponsorships and integrations and all those different things. So everything I've said about Amazon's entrance into the market, I would argue, is understating their potential impact.

And then Netflix has done the opposite. They've grown their ad-supported and maybe they've sort of leveled off in terms of their ad load. But the one thing I will say that's constrained our spend in a good way is their pricing. This is, what, the third year that we've been negotiating. And the first year was just ridiculous and they just under delivered. The second year was a little bit more reasonable.

And now I would say that, if anything, their volume has gone up but their pricing has come down a bit. And say, Amazon probably helped that. Because they don't have as big a leg to stand on when it comes to the darling new entrant and all that. They kind of lost that now.

... and Disney and Peacock still lead in advertising load

Yes. So Hulu is still the biggest. So any one platform, Hulu is the biggest. But because they roll up under the Disney bundle and the ABC commitment, I would say that, that's our biggest overall. Because they've got Disney that still has its ad ecosystem and they've got ESPN, and they've got now and continue to have Hulu. So that's still the biggest.

From a percentage standpoint, it's basically, call it, maybe low double digits goes to ABC. NBC is because, again, their variety of networks between broadcast and streaming and Peacock and because they've got some sports rights, they're probably second. But what happens is low double digits maybe for the biggest one, then you've got maybe something even lower.

Chief Revenue Officer at Screenvision:
Amazon best at retail marketing

Chief Revenue Officer, Screenvision
Entertainment Networks at Screenvision
Media

So I believe Amazon was a big winner in this year's upfront. And I'd say, overall, they're the Netflix of 2.5, three years ago where people were so excited to see what they had. And I think the difference is with Amazon is that they actually have a very robust platform and understanding of the retail marketing, and I think that's an absolute focus of advertisers right now. I believe that Amazon will continue to be one of the bigger players and really grow in size.

Chief Revenue Officer at Screenvision
agrees: Oversupply of ad inventory

And because of the supply of Netflix and Amazon, everyone thinks it's a buyer's market. So the agencies, it's their market's effect. From what I've understood, Disney did move with Publicis early, and they said, overall, the volume was flat to last year. So no increase, no decrease. CPMs were down, but they held their volume, and they were happy with that with being able to hold a flat volume.

Former GM at Trade Desk: NFLX also
competes against Youtube and Tiktok

Former General Manager at Trade Desk

I think the one thing we talked a lot about streaming, and I think one common thread that I see on the sports streaming, as much as Netflix competes with Amazon Prime, it's TikTok, it's YouTube, it's all of these other places. If you think about the type of audiences, and again, I'm just looking at my survey of two kids in my house, they're on YouTube.

Ex sales VP at NFLX: ad-free
viewers worth more ad
money

And I think that poses a
challenge to marketers, of
course, because so many
people choose to stream

11:13

without ads.

And those are the people that
most marketers probably want
to reach.

Appendix 6: Expert bearish on monetisation of NFLX advertising



Prime has free shipping... Netflix has free ads

Senior Director at Essence: Political ads pushing CPM up in 2024, unsustainable

Senior Director of Partnerships & Investments at Essence

Sure. Yes. So on the political side, there is just an unbelievable amount of money out there. And I'm not buying ads or any political party or any candidates or anything. But what it's doing and it will continue to do, this is another reason we'll end up spending more in the fourth quarter, is it's just making everything much more expensive.

Chief Revenue Officer at Screenvision: NFLX ad-tier as a failure on CPM front...

mentioned Netflix earlier. Netflix was an interesting one. Netflix loves to go out and tell the story where they're up 150% in volume. They wrote 150% more in upfronts this year.

Anyone at Netflix would tell you that they did not hit a single goal because they had CPM goals that they were supposed to get to. And across the board, the agencies just weren't paying it. They were like, we don't care who you are, Netflix.

We've got dollars for you, but we're not going to pay these crazy high CPMs. And in order to write the dollars that Netflix needed to write, they had to come off these CPMs.

Because advertisers think of NFLX as a reality TV replacement, where comparable CPM is much lower than they are demanding (Screenvision)

So many people subscribe to Netflix. Right now, if you talk to advertisers, what they believe Netflix is a good use for is a replacement for reality TV. And I think that they're not looking at Netflix anymore as this premium subscription like people used to.

I think Netflix missed the mark of when to come into the advertising game because probably five years ago, six years ago, eight years ago, they were the streamer. They were this new platform that had all this amazing original content and everyone had Netflix and everyone would talk about Netflix shows.

And now there's just so many other premium original programming coming out on other networks that Netflix had to find its way. And I think in the last year, it's repositioned itself as reality TV. And it's the

They're competing against Bravo. And I think that's really where the pivot has gone for the agency side who is saying, Netflix, sure you've got a couple of movies, but they're like, you're not known for that.

What you do the best right now is original reality. And therefore, you're pitting yourself against historical CPMs of the reality network. And therefore, when they're looking to say, we want a \$75 CPM, an \$80 CPM, you're talking against someone like Bravo that has a \$16 CPM. And the agencies are just pushing back on it and saying, again, your programming isn't at its height where it used to be.

NFLX is historically wary of sports, approaching it cautiously (NBC)

Former Director Strategy and Development at NBCUniversal

I also think that kind of thinking has shifted into sports, in the last few years, in ways that it hasn't been before. Netflix historically didn't really want to go into sports because sports was very national, and they wanted to have these big global successes, and they wanted to be able to use the learnings from one country to help facilitate their, whether it's marketing or promotion or just having the rights to everything.

Former GM at Trade Desk: AMZN and NFLX banking on sports advertising...

Former General Manager at Trade Desk

This comes down to, from a marketer's perspective, typically, it's scale and ability to target key audiences. Those are the two biggest drivers. Unique inventory is another thing. Amazon sits on Thursday Night Football. If you want to be on Thursday Night Football, you have to buy through Amazon. Christmas Day is important to you, and you want to be on NFL, you have to be on Netflix.

... but sports fans have a high churn when season is over...

Former Director Strategy and Development at NBCUniversal

It depends. I think one of the issues with sports is that you are renting those fans and those subscribers for as long as the season is and for as long as they have the rights to it. It is by no means going to solve your long-term growth plans if you're just going to gobble up sports rights in the short term and then assume that the content that you're going to make alongside it is going to make sure that those subscribers aren't going to churn.

Sports fans do churn as high as any other content once the season is over. It also

... as with live shows, where subscribers cancel within a month (Essence)

And so I would look for sports rights and I would look for live programming. I just heard John Mulaney will be hosting a live show on Netflix. Now that might not be enough to get someone to subscribe to Netflix for any more than a month or whenever they show. I don't know what the deal was with the show. So that may not happen. But now you start to see them acting like some of the more mature streamers where, okay, well, to get new people, we need to pull people from somewhere else.

The Crown is slipping as consumers hit skip

Article PDF Available

Consumer digital piracy behaviour among youths: insights from Indonesia

November 2016 · Asia Pacific Journal of Marketing and Logistics 28(5):898-922
DOI:10.1108/APJML-11-2015-0163

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Streaming Services Vs. Digital Piracy:

The Process of Entertainment Media Consumption

Nina Leskovšek – s2800683

Bachelor Thesis in Communication Science (Bsc)

Faculty of Behavioral, Management, and Social Science (BMS)

Supervisor: Dr. R.S. Jacobs

University of Twente

July 1st, 2024



r/Piracy

• 3 mo. ago

DongusMongus8

Piracy is the only choice. Even if a film is available on Netflix, I won't watch it.

Discussion

I'm just writing this because I feel like it but basically my point is, even if something is on a streaming service, I'll still choose to pirate it.

To preface this, I have Disney+, Netflix and Amazon Prime. Now, this started essentially when I went to watch Top Gun Maverick on Netflix and even when it was on 4k, it was just horrible to watch. The bitrate was so low that it essentially made the watching the film less enjoyable than say if I had a Blu-ray. Another gripe with this is you just don't know what kind of sound you're getting, if you're getting Dolby Atmos or some shitty compressed audio and quite frankly, it sucked, especially when you've put money into getting a really nice TV setup and speakers.

So, the alternative is of course to pirate. And it's so easy. I turn on my VPN, get a 50gb 4k file with everything I need; HDR, Dolby Atmos, High Bitrate, and OLED compatibility. Then after downloading the file, I just stream it directly from my PC to my TV with Plex, then in plex I can freely download subtitles, tune the compression, switch between audio codecs, etc..... and essentially just get more features from something that is free. And the best part is, watching it of course, crystal clear quality equivalent to buying a Blu-ray in a store, which I will do for films that I want the true experience, like the Nolan Films.

This doesn't just apply to Netflix of course; I've found the bitrate on Disney+ to be fantastic and it is the clear winner when it comes to streaming quality. But.... I have an ultrawide and Disney+ just doesn't support that, even for ultrawide films, I just get black bars all-round. Easy fix by just downloading it and again, watching it on Plex. This only applies when I'm watching something on my PC, but still... And Amazon recently started introducing ads into my subscription which is ridiculous. But the reason I'm writing this is because I stopped watching a film halfway through last night and this morning, I went to finish it and it's no longer available????

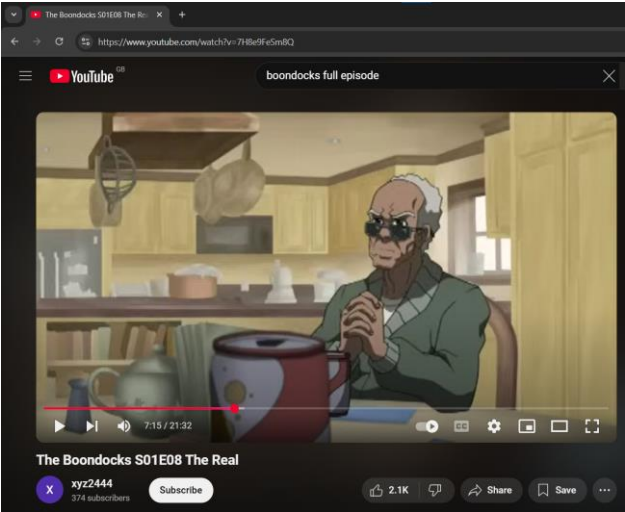
I will pay for subscription services if it is beneficial to me, such as Spotify premium simply because it is good. Movie streaming services are no longer 'the better option'. Netflix, Amazon and Disney+ just won't offer the same quality as a pirated service will.

TLDR; Quality and features of streaming services sucks, pirating will give you a better viewing experience in every way possible.

686

128

Share



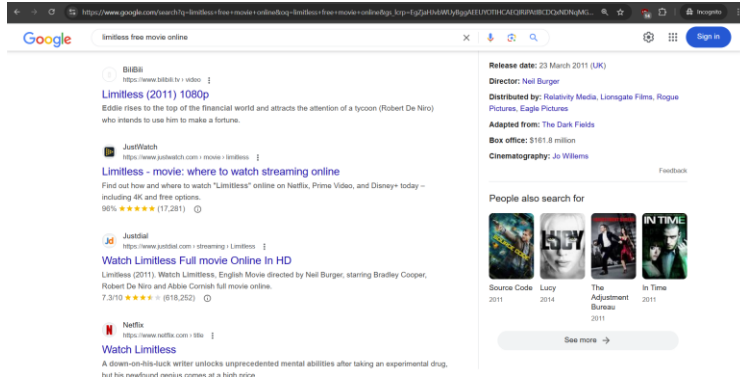
Ease of access, able to use third-party UI and no login required

Appendix 8: Piracy crackdown limited

Pirates of the Caribbean, and around the world



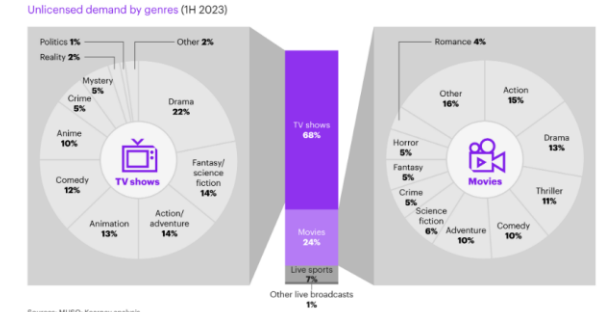
New host sites make piracy easy to access



Illegal market expected to grow

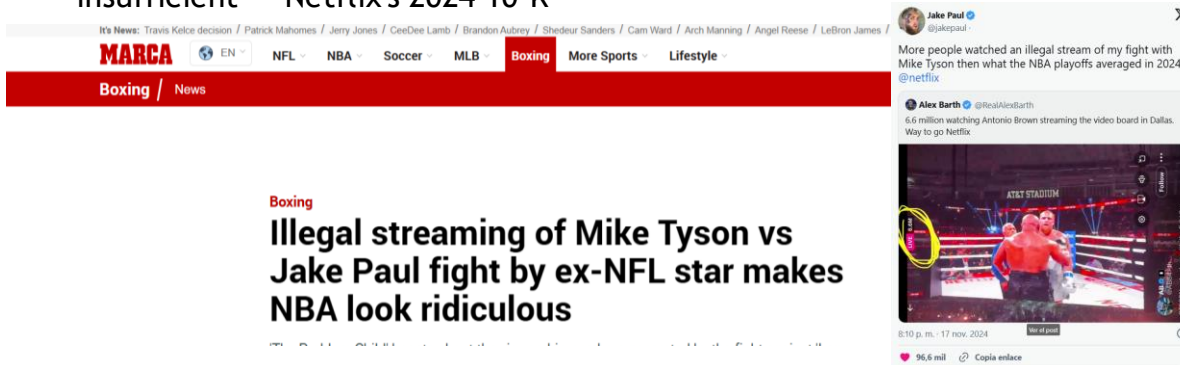
Online video content piracy is estimated to be a \$75 billion per year revenue leakage problem for the global media sector. This figure is projected to reach \$125 billion by 2028, representing an annual growth rate of nearly 11 percent.

Figure 4
Movies and TV shows capture 92% of video piracy demand



Previous initiatives of piracy crackdowns have failed

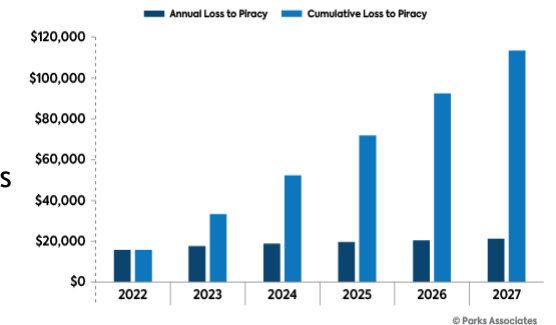
- “In light of the compelling consumer proposition, piracy services are subject to rapid global growth, and our efforts to prevent that growth may be insufficient” - Netflix's 2024 10-K



Closing one site leads to greater retaliation by pirates

- Shutting down piracy sites is difficult, as they often rebrand and relaunch under new domains. Anime and manga piracy platforms, for example, can operate for years by frequently changing names, continuing to profit from stolen content. 9anime rebranded as Aniwave, extending its lifespan before eventually closing on the pirates' own terms.

Industry Revenue Loss to Piracy (\$M US)

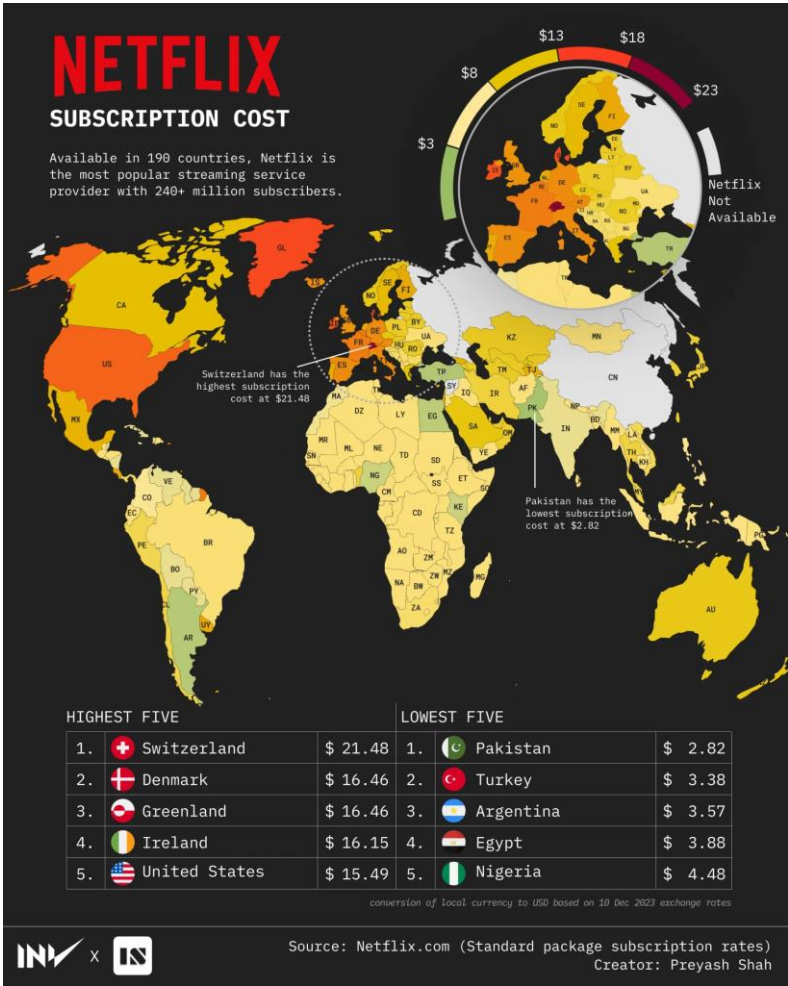


Appendix 9: NFLX's new frontiers in developing markets are drags on ARPU



Love is blind but ARPU is not

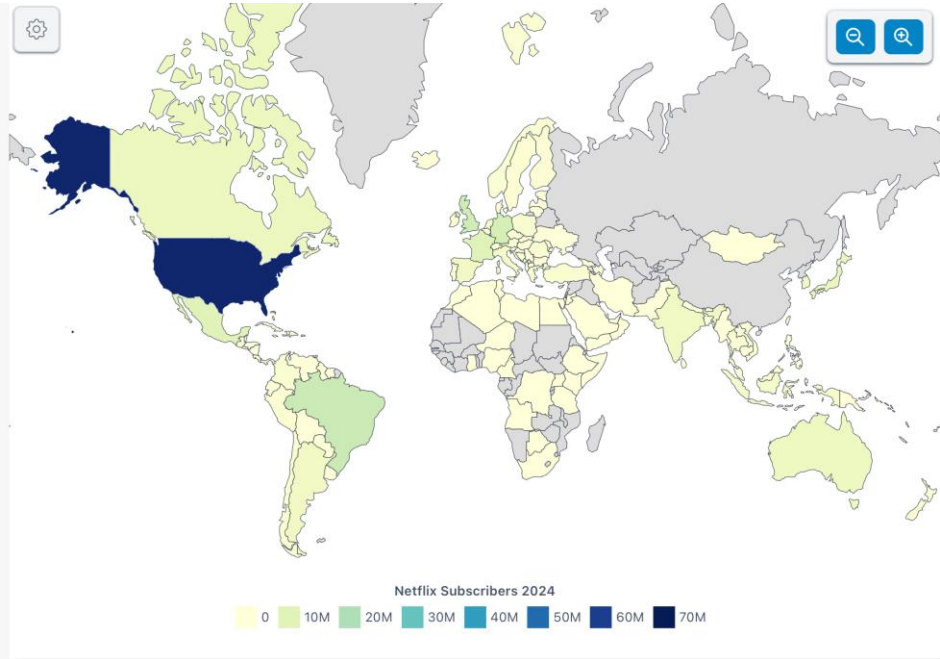
High ARPU countries are already oversaturated



NFLX's fastest growing countries have low ARPUs

Countries	Netflix Cost (USD)
Brazil	\$8.10
Countries	Netflix Cost (USD)
India	\$5.98

NFLX subscribers by country



Appendix 10: Consumer discretionary spending in the US will fall in 2025



Can't say for sure that there's a recession, but we're confident that consumer discretionary will suffer

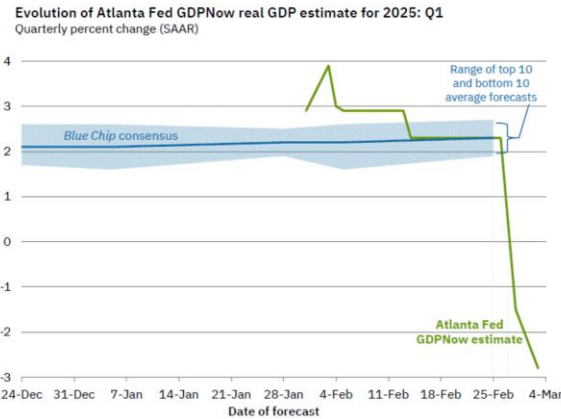
Nominal Growth Forecasted to be Negative

- Negative Atlanta Fed GDP nowcast for Q1, keeps revising downward
- Tariffs: threat of retaliation

Trump tariffs + Add to myFT
Beijing retaliates after Donald Trump imposes tariffs on top US trade partners
Canada also responds as president rules out last-minute negotiations over levies

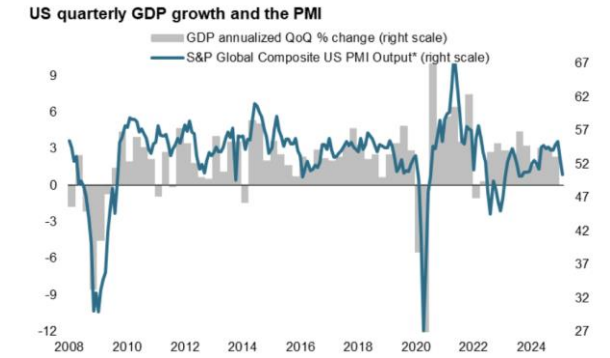
Mexico vows retaliation as Trump trade war erupts

By Kylie Madry and Brendan O'Boyle
March 4, 2025 6:01 PM CMT - Updated 6 hours ago



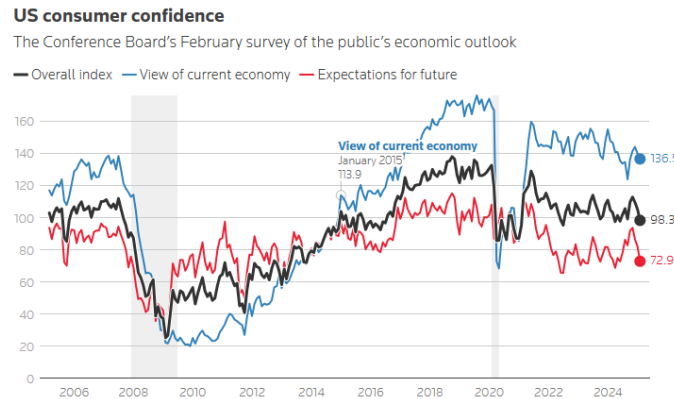
Production is Trending Downwards

- As of 21 Feb, manufacturing PMI was slightly up due to frontrunning tariffs, unsustainable
- But **services PMI** (which was the main driver of US economic strength) took a sharp downturn, below 50, extremely bearish
- Falling services PMI would cause advertisers to cut back on ads



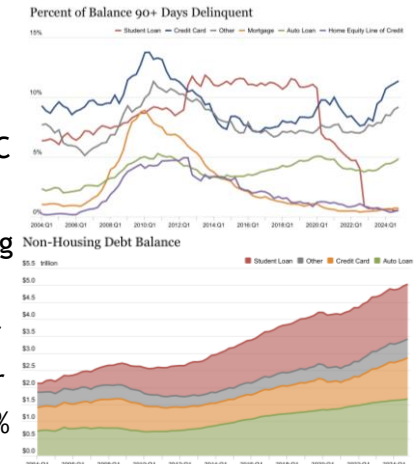
Consumer Confidence is dwindling...

- Extremely bearish Michigan consumer confidence print on 21 Feb
- Along with weak PMI, equities crashed, markets are extremely worried about growth
- Consumers finally feeling the pinch, will cut down on excess consumer discretionary, hurt NFLX



... and Consumer Strength is Unsustainable

- US consumers are the most levered they have ever been, with credit card loans at highest ever levels
- But credit card delinquencies at highest level since GFC fallout
- Consumer strength in 2024 was due to consumers taking on debt, unsustainable, and this is starting to unravel
- Inequality: top 10% of all earners accounting for 50% of spending in US. Others are feeling the pinch. NFLX user base is 70% of US, so they can't just rely on the top 10% to drive growth



Appendix 11: DCF Model - Base Case

A model simply guides you to the truth

N

Quarterly DCF Build used to forecast cash flows

NFLX	2022	2022	2022	2022	2023	2023	2023	2023	2024	2024	2024	2024	2025	2025	2025	2025	2040	2040	2040	2040
Discounted Cash Flow	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Revenue	7,867,767	7,970,141	7,925,589	7,852,053	8,161,503	8,187,301	8,541,668	8,832,825	9,370,440	9,559,310	9,824,703	10,246,513	10,173,085	10,350,429	10,494,023	10,999,813	28,185,665	28,387,349	29,119,567	29,824,599
% growth	0%	1%	-1%	-1%	4%	0%	4%	3%	6%	2%	3%	4%	9%	8%	7%	7%	6%	6%	6%	6%
Gross Profit	3,583,062	3,279,386	3,136,924	2,447,893	3,357,878	3,513,831	3,610,880	3,525,340	4,393,367	4,385,167	4,704,819	4,479,149	4,587,629	4,703,441	4,793,057	5,183,285	17,602,901	17,711,157	18,280,325	18,825,182
% margin	46%	41%	40%	31%	41%	43%	42%	40%	47%	46%	48%	44%	45%	45%	46%	47%	62%	62%	63%	63%
EBITDA	2,046,228	1,661,788	1,618,206	643,291	1,804,652	1,916,568	2,007,054	1,582,676	2,719,768	2,684,064	2,990,391	2,352,305	2,693,948	2,775,765	2,945,755	3,023,949	14,230,202	14,310,881	14,786,191	15,240,626
% margin	26%	21%	20%	8%	22%	23%	23%	18%	29%	28%	30%	23%	26%	27%	28%	27%	50%	50%	51%	51%
EBIT	1,971,626	1,578,283	1,533,018	549,904	1,714,317	1,827,183	1,916,394	1,496,109	2,632,534	2,602,837	2,909,477	2,272,766	2,603,877	2,685,107	2,851,662	2,928,324	14,079,692	14,162,738	14,640,379	15,097,107
% margin	25%	20%	19%	7%	21%	22%	17%	17%	28%	27%	30%	22%	26%	26%	27%	27%	50%	50%	50%	51%
% tax rate	19%	11%	14%	(41%)	11%	11%	12%	18%	11%	15%	13%	12%	12%	12%	12%	12%	12%	12%	12%	12%
Less: Taxes	(380,688)	(177,080)	(211,358)	222,948	(191,117)	(208,602)	(232,518)	(274,049)	(284,309)	(379,524)	(365,381)	(282,900)	(312,465)	(322,213)	(342,199)	(351,399)	(1,689,563)	(1,699,529)	(1,756,846)	(1,811,653)
NOPAT	1,590,938	1,401,203	1,321,660	772,852	1,523,200	1,618,581	1,683,876	1,222,060	2,348,225	2,223,313	2,544,096	1,989,866	2,291,412	2,362,894	2,509,463	2,576,925	12,390,129	12,463,210	12,883,534	13,285,454
Plus: Depreciation and Amortization	2,893,818	3,536,081	3,799,647	4,312,578	3,195,528	3,545,525	3,338,024	3,889,705	3,568,598	3,484,345	3,696,850	4,101,503	4,047,833	4,081,577	4,116,015	4,152,183	7,069,138	7,133,979	7,199,510	7,265,737
Less: CAPEX and other investments	(3,705,322)	(4,777,029)	(4,667,631)	(4,096,785)	(2,520,685)	(3,783,979)	(2,987,768)	(3,610,823)	(3,804,681)	(4,127,139)	(4,143,259)	(4,588,076)	(4,552,787)	(4,590,706)	(4,630,010)	(4,670,845)	(7,660,477)	(7,732,020)	(7,804,303)	(7,877,332)
Less: Change in NWC	-	-	-	-	-	-	-	-	-	-	-	-	(115,436)	36,218	(411)	142,606	38,538	46,803	95,939	93,712
UFCF	779,434	160,255	453,676	988,645	2,198,043	1,380,127	2,034,132	1,500,942	2,112,142	1,580,519	2,097,687	1,503,293	1,671,021	1,889,983	1,995,057	2,200,869	11,837,329	11,911,972	12,374,681	12,767,572
Number of Periods	40																			
UFCF Included in Valuation (Y/N)													1	1	1	1	0	0	0	0
UFCF Included													1,671,021	1,889,983	1,995,057	2,200,869	-	-	-	-

Cumulative Sum of UFCF	103,408,904
Terminal Discount Rate	0.41

We did a DCF analysis with 37 scenarios, testing different risks and mitigating them to estimate the margin of safety

This included over 10 different scenarios of subscriber growth for each region for our sensitivity analysis

DCF Assumptions		
WACC	[%]	9.50%
Start Date	date	12/2/2025
Valuation Date	date	12/2/2025
Projection period	#	10
Gordon growth / EV/EBITDA / EV/EBIT / EV/Revenue1 / 2 / 3 / 4]		3
Gordon Growth Rate	%	2.0%
EV/EBITDA Exit Multiple	x	11.5x
EV/EBIT Exit Multiple	x	12.0x
EV/Revenue Exit Multiple	x	3.0x
Number of Shares Outstanding	#	439
Current Share Price as of valuation date	#	1,027.31
Number of Quarters	#	40
[Spare]	#	-
[Spare]	#	-

Outputs	
Terminal Value	436,619,272
PV of Terminal Value	179,137,963
Cumulative Sum of FCF	103,408,904
Enterprise Value	282,546,867
% Value from Terminal Value	63.40%
(-) Debt	14,160,932
(+) Cash	7,457,025
Equity Value	275,842,960
Number of Shares Outstanding	439,000
Target Share Price	628.34
Current Share Price	1027.31
% Upside	-38.84%

Appendix 11: DCF Model - Case Inputs



A model simply guides you to the truth

Quarterly DCF Build used to forecast cash flows

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Appendix 12: DCF Sensitivity Analysis



What is our Margin of Safety?

If Thesis 1 fails...

22%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	90.94	95.04	99.31	103.78	107.93	110.36
ARPU	17.85	18.58	19.23	19.78	20.50	21.60
Revenue from UCAN	18,841	20,492	22,138	23,766	25,563	27,589
EMEA						
Paid subscribers	104.64	111.23	120.46	128.65	136.12	143.74
ARPU	10.98	11.33	11.54	11.91	12.57	13.25
Revenue from EMEA	13,299	14,790	16,253	18,012	20,198	22,492
APAC						
Paid subscribers	63.25	72.17	83.21	93.44	103.26	109.97
ARPU	7.45	7.23	7.23	7.44	7.67	7.90
Revenue from APAC	5,345	5,963	6,864	7,939	9,036	10,002
LATAM						
Paid subscribers	55.17	57.15	60.01	63.61	66.79	68.79
ARPU	9.00	9.36	9.63	10.02	10.43	10.85
Revenue from LATAM	5,791	6,395	6,964	7,680	8,390	9,056
Revenue from Streaming	43,276	47,639	52,219	57,398	63,187	69,139

If Thesis 2 fails...

43%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	90.94	95.04	99.69	103.68	107.31	108.92
ARPU	17.60	17.76	17.83	18.08	18.50	19.10
Revenue from UCAN	18,555	19,556	20,591	21,727	22,963	24,135
EMEA						
Paid subscribers	106.16	112.52	121.53	129.43	136.54	143.37
ARPU	10.45	10.39	10.24	10.11	10.27	10.95
Revenue from EMEA	12,810	13,719	14,545	15,379	16,550	18,563
APAC						
Paid subscribers	62.10	68.93	78.24	87.23	96.83	103.61
ARPU	7.05	6.53	6.23	6.24	6.47	6.70
Revenue from APAC	4,917	5,074	5,460	6,071	6,958	7,778
LATAM						
Paid subscribers	53.57	54.37	56.54	59.65	62.94	65.45
ARPU	8.40	8.36	8.43	8.52	8.93	9.35
Revenue from LATAM	5,273	5,451	5,734	6,099	6,724	7,375
Revenue from Streaming	41,555	43,801	46,329	49,275	53,194	57,851

If Thesis 3 fails...

35%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	90.05	93.65	96.93	100.32	103.33	104.62
ARPU	17.60	17.96	18.23	18.53	19.00	19.60
Revenue from UCAN	18,484	19,654	20,681	21,729	22,899	23,961
EMEA						
Paid subscribers	105.14	110.72	118.80	125.69	131.72	137.78
ARPU	10.45	10.54	10.42	10.41	10.57	11.25
Revenue from EMEA	12,822	13,873	14,686	15,594	16,664	18,562
APAC						
Paid subscribers	62.10	68.31	76.71	85.00	93.92	100.03
ARPU	7.15	6.73	6.43	6.44	6.67	6.90
Revenue from APAC	4,989	5,183	5,525	6,105	6,957	7,733
LATAM						
Paid subscribers	53.03	52.77	54.09	56.52	59.06	60.84
ARPU	8.50	8.56	8.63	8.72	9.13	9.55
Revenue from LATAM	5,297	5,453	5,652	5,953	6,494	7,049
Revenue from Streaming	41,592	44,164	46,544	49,381	53,015	57,304

If Thesis 4 fails...

38%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	89.60	92.29	95.52	98.86	101.83	103.10
ARPU	17.90	18.63	19.36	20.18	21.00	21.60
Revenue from UCAN	18,665	20,055	21,541	23,216	24,827	25,902
EMEA						
Paid subscribers	104.13	109.13	117.10	123.89	129.84	135.81
ARPU	10.99	11.29	11.71	11.91	12.07	12.75
Revenue from EMEA	13,279	14,505	16,089	17,390	18,549	20,503
APAC						
Paid subscribers	61.53	67.37	75.66	83.83	92.63	98.65
ARPU	7.15	6.93	6.63	6.64	6.87	7.10
Revenue from APAC	4,952	5,276	5,632	6,223	7,084	7,867
LATAM						
Paid subscribers	52.77	52.50	53.82	56.24	58.77	60.53
ARPU	8.50	8.66	8.93	9.12	9.53	9.95
Revenue from LATAM	5,278	5,497	5,827	6,204	6,755	7,318
Revenue from Streaming	42,175	45,333	49,090	53,032	57,215	61,590

Appendix 12: DCF Sensitivity Analysis 2



What is our Margin of Safety?

If Theses 1 and 2 fail...

13%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	92.74	98.30	104.10	109.30	114.22	117.08
ARPU	17.85	18.58	19.23	19.78	20.50	21.60
Revenue from UCAN	19,206	21,189	23,209	25,082	27,108	29,363
EMEA						
Paid subscribers	107.17	115.20	125.57	134.99	143.76	152.39
ARPU	10.98	11.33	11.54	11.91	12.57	13.25
Revenue from EMEA	13,584	15,309	16,933	18,888	21,319	23,863
APAC						
Paid subscribers	64.11	74.11	86.34	97.57	108.30	115.88
ARPU	7.45	7.23	7.23	7.44	7.67	7.90
Revenue from APAC	5,415	6,120	7,118	8,284	9,471	10,532
LATAM						
Paid subscribers	56.23	59.38	63.24	67.67	71.73	74.60
ARPU	9.00	9.36	9.63	10.02	10.43	10.85
Revenue from LATAM	5,899	6,630	7,323	8,152	8,990	9,798
Revenue from Streaming	44,104	49,248	54,582	60,406	66,888	73,555

If Theses 1 and 3 fail...

9%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	91.84	96.89	101.25	105.81	110.04	112.52
ARPU	17.85	18.78	19.63	20.23	21.00	22.10
Revenue from UCAN	19,134	21,286	23,279	25,039	26,973	29,076
EMEA						
Paid subscribers	106.16	113.37	122.78	131.13	138.74	146.51
ARPU	10.98	11.48	11.72	12.21	12.87	13.55
Revenue from EMEA	13,595	15,462	17,063	19,072	21,360	23,757
APAC						
Paid subscribers	64.11	73.47	84.71	95.13	105.12	111.96
ARPU	7.55	7.43	7.43	7.64	7.87	8.10
Revenue from APAC	5,490	6,235	7,177	8,295	9,434	10,434
LATAM						
Paid subscribers	55.70	57.70	60.59	64.22	67.44	69.46
ARPU	9.10	9.56	9.83	10.22	10.63	11.05
Revenue from LATAM	5,924	6,623	7,208	7,943	8,670	9,352
Revenue from Streaming	44,143	49,606	54,727	60,349	66,437	72,619

If Theses 1 and 4 fail...

22%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	91.39	95.50	99.80	104.29	108.47	110.91
ARPU	18.15	19.46	20.76	21.88	23.00	24.10
Revenue from UCAN	19,320	21,692	24,154	26,577	28,987	31,112
EMEA						
Paid subscribers	105.14	111.77	121.04	129.28	136.77	144.43
ARPU	11.51	12.23	13.01	13.71	14.37	15.05
Revenue from EMEA	14,049	16,083	18,470	20,880	23,253	25,726
APAC						
Paid subscribers	59.23	62.78	68.62	74.66	81.00	85.46
ARPU	7.55	7.63	7.63	7.84	8.07	8.30
Revenue from APAC	4,973	5,301	5,768	6,412	7,124	7,781
LATAM						
Paid subscribers	55.43	57.43	60.30	63.92	67.11	69.13
ARPU	9.10	9.66	10.13	10.62	11.03	11.45
Revenue from LATAM	5,903	6,669	7,402	8,225	8,966	9,657
Revenue from Streaming	44,245	49,744	55,795	62,093	68,330	74,277

If Theses 2 and 3 fail...

28%
upside

	2025E	2026E	2027E	2028E	2029E	2030E
UCAN						
Paid subscribers	91.84	96.89	101.64	105.70	109.40	111.05
ARPU	17.60	17.96	18.23	18.53	19.00	19.60
Revenue from UCAN	18,845	20,326	21,686	22,939	24,292	25,511
EMEA						
Paid subscribers	107.67	114.67	123.84	131.89	139.15	146.11
ARPU	10.45	10.54	10.42	10.41	10.57	11.25
Revenue from EMEA	13,093	14,357	15,297	16,351	17,588	19,694
APAC						
Paid subscribers	62.96	70.20	79.68	88.84	98.62	105.52
ARPU	7.15	6.73	6.43	6.44	6.67	6.90
Revenue from APAC	5,056	5,324	5,737	6,378	7,302	8,154
LATAM						
Paid subscribers	54.10	54.91	57.11	60.25	63.56	66.10
ARPU	8.50	8.56	8.63	8.72	9.13	9.55
Revenue from LATAM	5,399	5,661	5,953	6,331	6,972	7,641
Revenue from Streaming	42,392	45,668	48,674	51,999	56,155	61,000

Appendix 13: Reverse DCF



Selling Sunset that will never come

NFLX	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Reverse DCF Annual														
Revenue	24,996,056	29,697,844	31,615,550	33,723,297	39,000,966	47,688,666	53,319,578	59,223,991	65,943,209	72,921,512	79,180,469	85,215,261	91,215,311	96,826,557
% growth	0%	19%	6%	7%	16%	22%	12%	11%	11%	11%	9%	8%	7%	6%
Gross Profit	9,719,737	12,365,161	12,447,265	14,007,929	17,962,502	24,832,669	29,894,575	34,342,932	39,467,386	44,788,867	49,464,904	53,920,298	58,316,855	62,849,715
% margin	39%	42%	39%	42%	46%	52%	56%	58%	60%	61%	62%	63%	64%	65%
EBITDA	4,700,999	6,402,921	5,969,513	7,310,950	10,746,528	16,017,631	20,427,861	24,107,555	28,714,535	33,436,295	38,120,803	42,564,885	47,543,241	51,423,577
% margin	19%	22%	19%	22%	28%	34%	38%	41%	44%	46%	48%	50%	52%	53%
EBIT	4,585,289	6,194,509	5,632,831	6,954,003	10,417,614	15,647,186	20,027,038	23,675,564	28,248,935	32,934,471	37,579,937	41,981,939	46,914,941	50,746,395
% margin	18%	21%	18%	21%	27%	33%	38%	40%	43%	45%	47%	49%	51%	52%
% tax rate	19%	11%	14%	(41%)	11%	12%	12%	12%	12%	12%	12%	12%	12%	12%
Less: Taxes	(885,342)	(695,010)	(776,602)	2,819,362	(1,161,383)	(1,877,662)	(2,403,245)	(2,841,068)	(3,389,872)	(3,952,136)	(4,509,592)	(5,037,833)	(5,629,793)	(6,089,567)
NOPAT	3,699,947	5,499,499	4,856,229	9,773,365	9,256,231	13,769,523	17,623,794	20,834,496	24,859,063	28,982,334	33,070,344	36,944,107	41,285,148	44,656,828
Plus: Depreciation and Amortization	10,165,189	12,671,677	14,542,124	13,968,782	14,851,296	3,545,525	3,338,024	3,889,705	3,568,598	3,484,345	3,696,850	4,101,503	4,047,833	4,081,577
Less: CAPEX and other investments	(12,277,207)	(18,226,787)	(17,246,767)	(12,903,255)	(16,663,155)	(3,783,979)	(2,987,768)	(3,610,823)	(3,804,681)	(4,127,139)	(4,143,259)	(4,588,076)	(4,552,787)	(4,590,706)
Less: Change in NWC	42,043	(230,655)	177,548	(178,035)	(172,742)	-	-	-	-	-	-	-	(154,694)	37,178
UFCF	1,629,972	(286,266)	2,329,134	10,660,857	7,271,630	13,531,069	17,974,050	21,113,378	24,622,980	28,339,540	32,623,935	36,457,534	40,625,499	44,184,876

Reverse DCF shows a 13% Revenue CAGR with 46% EBIT margins over the next 10 years, which we find highly unrealistic

Appendix 14: NFLX's 2025 content pipeline



Squid Game where consumers race to eliminate their subscriptions

Most of the pipeline likely to release after 6 months

RT Radio Times
<https://www.radiotimes.com> › TV › Sci-fi

Stranger Things season 5 release date speculation

17 Feb 2025 — **Season 5 will be released in 2025.** While we don't have a specific release date just yet, we'd guess season 5 will be released by autumn 2025.



TOI Times of India
<https://timesofindia.indiatimes.com> › ... › news › english

'Wednesday' Season 2: Tyler's fate, new cast, release date

...
5 days ago — **Wednesday Season 2 is expected to release between late 2025 to early 2026,** featuring darker storylines, fresh characters, and the return of key ...



When does Squid Game Season 3 premiere? Squid Game's third and final season launches on **June 27, 2025**. 30 Jan 2025

N Netflix
<https://www.netflix.com> › tudum › articles › squid-game...

Squid Game Season 3 to Premiere in June 2025 - Netflix

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Subscribers prone to subscribe for a month

bschwa1439 · 1y

People know they can cancel and rejoin right? Like I pay for a month once or twice a year. Once I'm caught up, I move onto the next service.

... Reply 271

Our web scraping on social media detected over 100 instances of users talking about the trend of subscribing for just one month!

Piracy is also an option

UP UPROXX
<https://uproxx.com> › most-pirated-shows-squid-game-n...

Netflix's 'Squid Game' Is The Most Pirated Show In The World

25 Jul 2022 — **Squid Game, the biggest show in Netflix history,** is also popular on torrent sites: the Emmy-nominated survival series is the most pirated title in 57 countries.



Appendix 15: Hedging long (Long AMZN/ Short NFLX pair)



Returns calculated daily. Historical returns look bad, but market neutral if we get direction right

L/S pair code

```
tickers = ['AMZN', 'NFLX', '^GSPC']
data = yf.download(tickers, start='2020-01-01')['Close']

# Long/short portfolio
returns = data.pct_change().dropna()
portfolio = returns['AMZN'] - returns['NFLX']

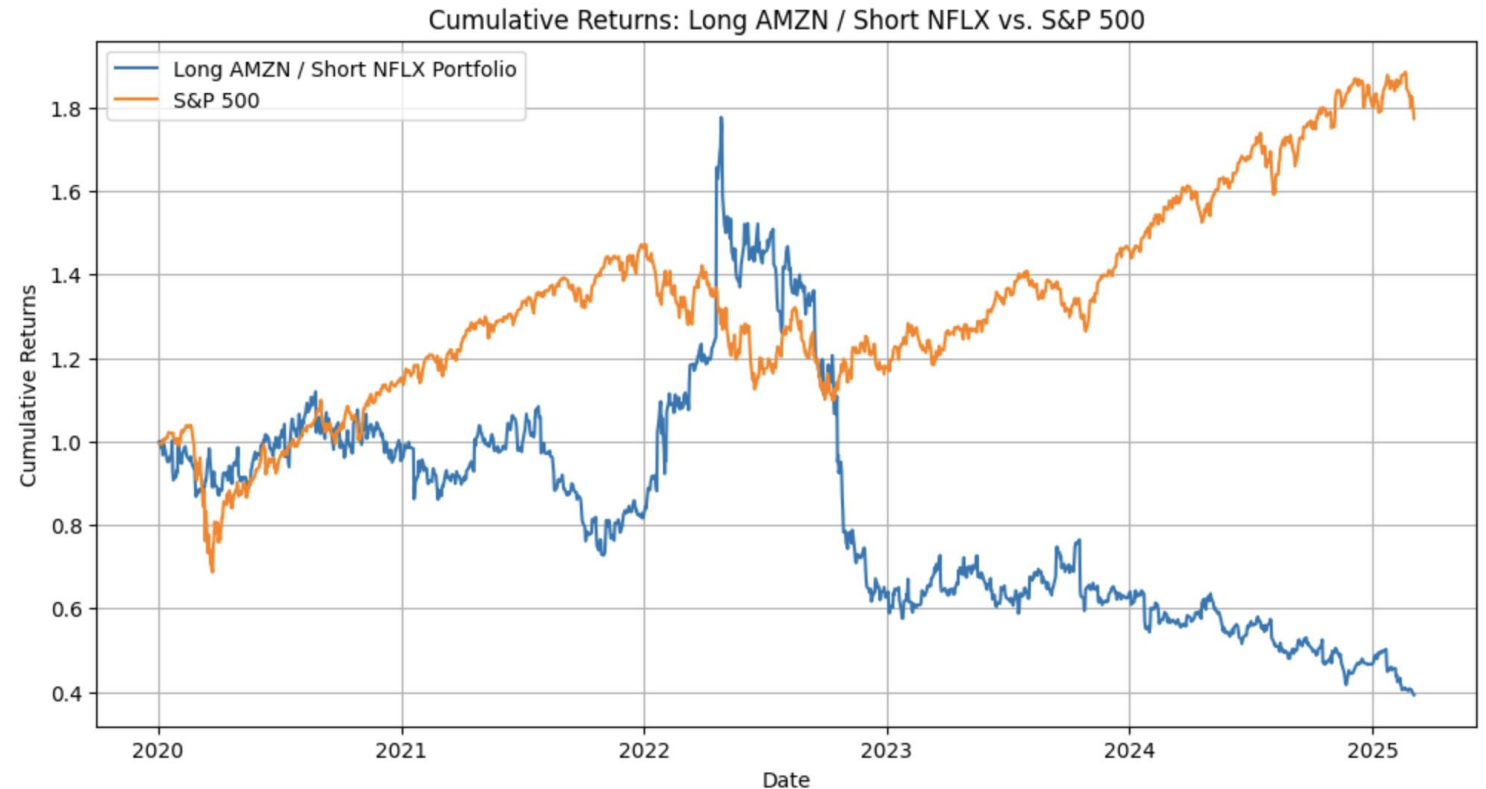
# Correlation with S&P 500
correlation = portfolio.corr(returns['^GSPC'])
print(f"Correlation between the long/short pair and the S&P 500: {correlation}")

# Cumulative returns
cumulative_portfolio_returns = (1 + portfolio).cumprod()
cumulative_sp500_returns = (1 + returns['^GSPC']).cumprod()

# Plot
plt.figure(figsize=(12, 6))
plt.plot(cumulative_portfolio_returns, label='Long AMZN / Short NFLX Portfolio')
plt.plot(cumulative_sp500_returns, label='S&P 500')
plt.title('Cumulative Returns: Long AMZN / Short NFLX vs. S&P 500')
plt.xlabel('Date')
plt.ylabel('Cumulative Returns')
plt.legend()
plt.grid(True)
plt.show()
```

L/S pair backtest and correlation

[*****100%*****] 3 of 3 completed
Correlation between the long/short pair and the S&P 500: 0.031352425171033683



Appendix 16: Reaching out to experts



Getting the inside view on streaming wars

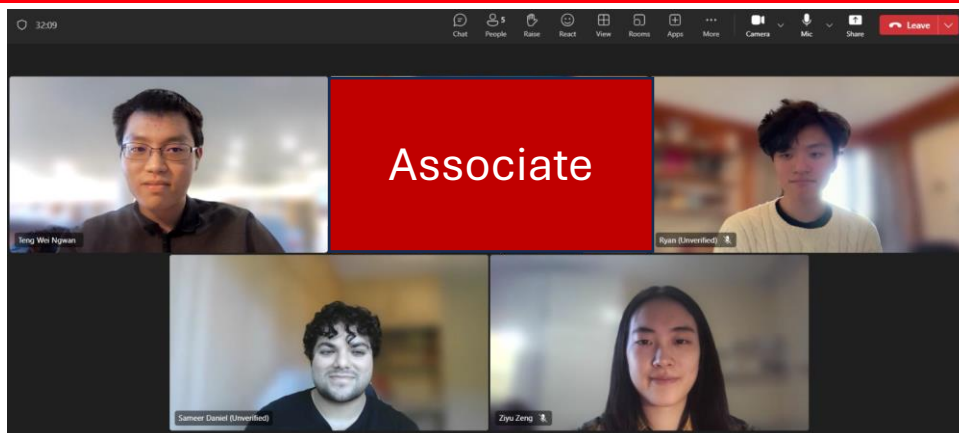
Call with Former Netflix Employee



Key points

- NFLX is spending huge amounts of cash to bid for rights for sports streaming
- NFLX never mentions competitors at town halls, **there is an air of arrogance in the company** especially after it turned profitable
- Admission that NFLX does not have the best content but UI is better - challenged by the rise of ad tier
- General impression within the company that NFLX is leading the way in the industry, pointing to some degree of overconfidence against peers
- Focus is on global reach and continuing to penetrate new markets

Call with Equity Research Associate on Netflix



Key points

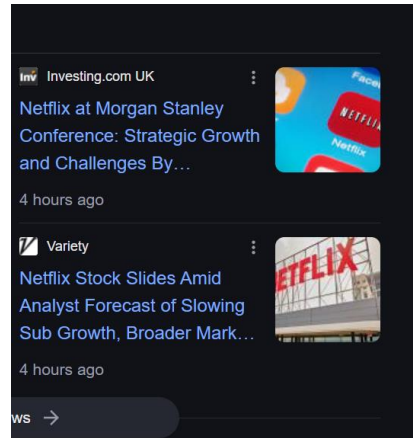
- NFLX trades on expectations of competition against other streamers
- Sports streaming market has become higher competitive; UFC costs \$1b a year, NBA costs have tripled, etc
- Sellside doesn't price in alternative competitors like YouTube and TikTok, only actions of other streaming services
- Sellside takes management's word that subscriber growth is sustained and not just due to past content initiatives, even though expert consensus is otherwise
- Sellside believes that gains from 2023 tailwinds will continue to play out
- ARPU is declining as NFLX has to burn cash to enter lesser-penetrated markets

Appendix 17: Theses playing out



A day too early? NFLX slips as subscriber growth and content fears hit the market

Shares fell close to 9% yesterday due to falling subscriber growth



MoffettNathanson noted idiosyncratic nature of growth...

MoffettNathanson crunched Netflix's numbers for the second half of last year and pointed out that while the number of global subscribers grew 11%, average daily engagement per customer dropped 6%.

That was an improvement over the 13% decline in daily engagement in the first half, the firm found. But it pointed strongly toward the notion that strong subscriber growth was the result of Netflix successfully reducing the number of people using one account.

"This implies that the elevated level of global subscriber growth for Netflix does not represent as significant an expansion of its user base. Rather, it is leading to Netflix (very successfully) improving the monetization of its existing userbase," the firm's analysts concluded.

... and called into question its sustainability

But now that subscriber growth is set to slow after the benefits of reducing the number of users per subscription has run its course. "It is likely Netflix has a few more quarters of strong subscriber growth driven by its content slate and ad-tier, but we do expect the benefits of the password-sharing crackdown to slow," Robert Fishman, an analyst with MoffettNathanson Research, wrote in a March 6 report.

A good chunk of the fall is from our macro catalyst

The Nasdaq Composite slumped 2.6%, putting the tech-heavy index in [correction territory](#). The S&P 500 dropped 1.8% and the Dow Jones Industrial Average fell 1%. Stocks [rallied yesterday](#) after the Trump administration announced [a one-month delay](#) to tariffs on cars and car parts from Canada and Mexico.

Big tech stocks fell across the board today. Broadcom ([AVGO](#)) dropped more than 6%, before [jumping in extended trading](#) after beating quarterly earnings estimates. Tesla ([TSLA](#)) and Nvidia ([NVDA](#)) both shed more than 5%, while Meta ([META](#)) slid about 4% and Amazon ([AMZN](#)) lost 3%. Microsoft ([MSFT](#)), Apple ([AAPL](#)), and Alphabet ([GOOG](#)) all slid 1% or less.